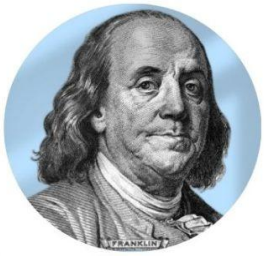
Smart Money Concept

SYNTHETIC INDICES

Volatility indices | Crash/Boom | Jump indices | Step indices | Range break indices



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Smart Money Concept on Synthetic Indices

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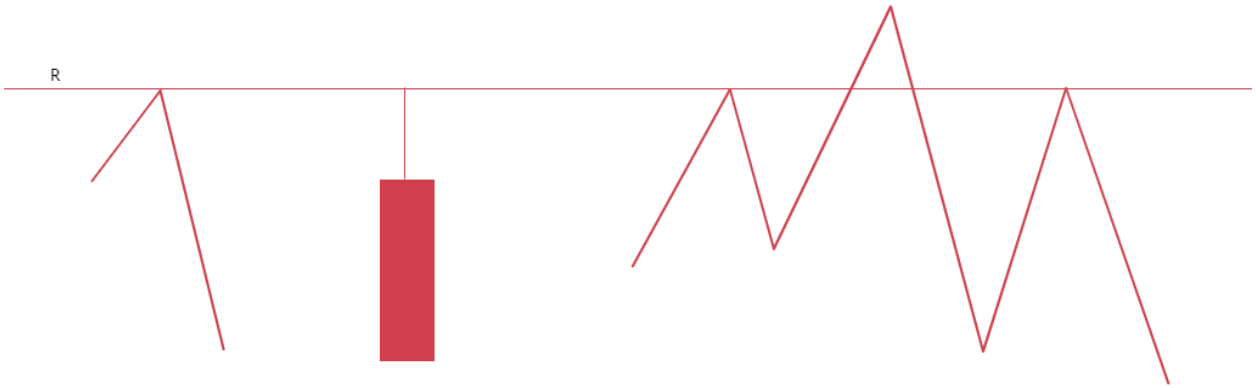
Support & Resistant (SnR)

a) Basic Support (S) & Resistant (R) Levels

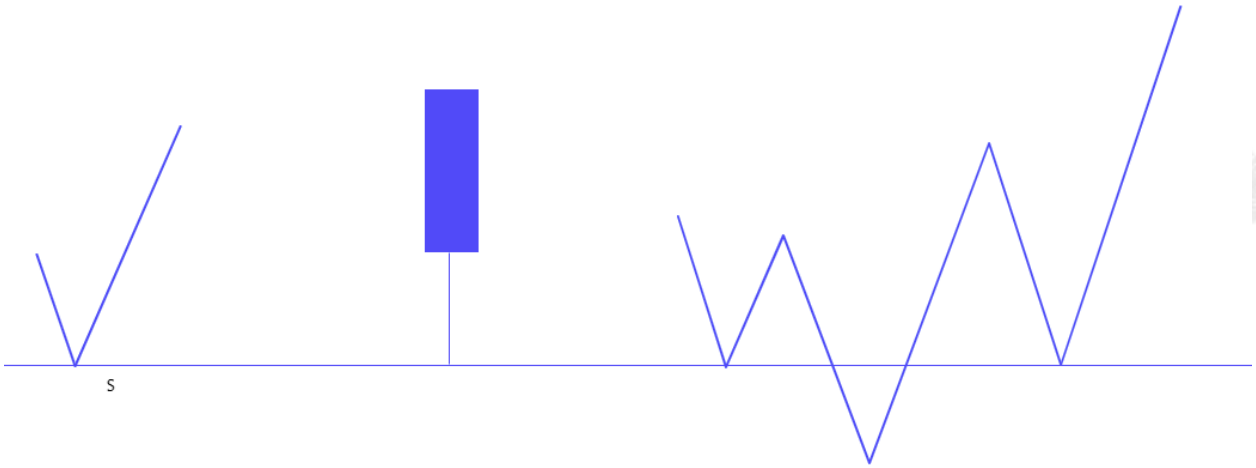
Support levels are those levels where large institutions are likely to buy, while resistance levels are those levels where large institutions are likely to sell.

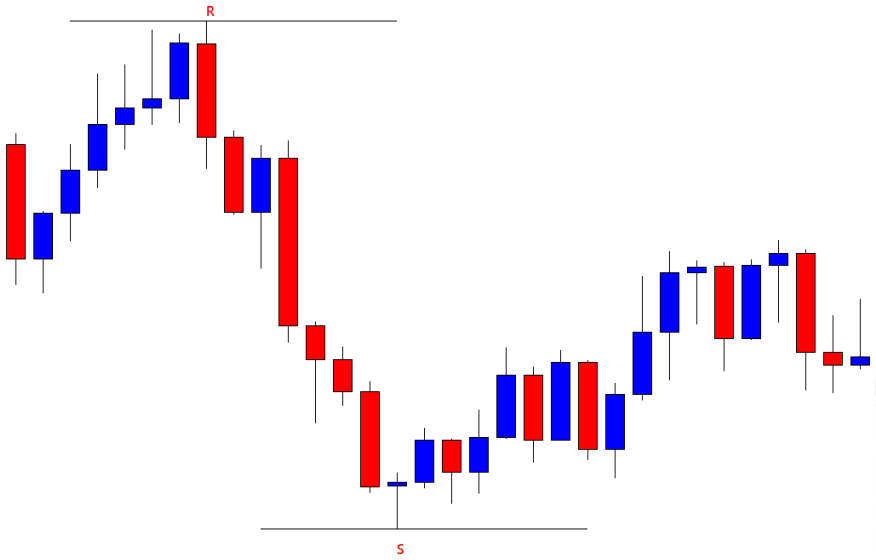
As such, you can use these levels to identify potential entry and exit points in the market.

- **Resistant (R) = price rejects at the top**



- **Support (S) = price rejects at the bottom**



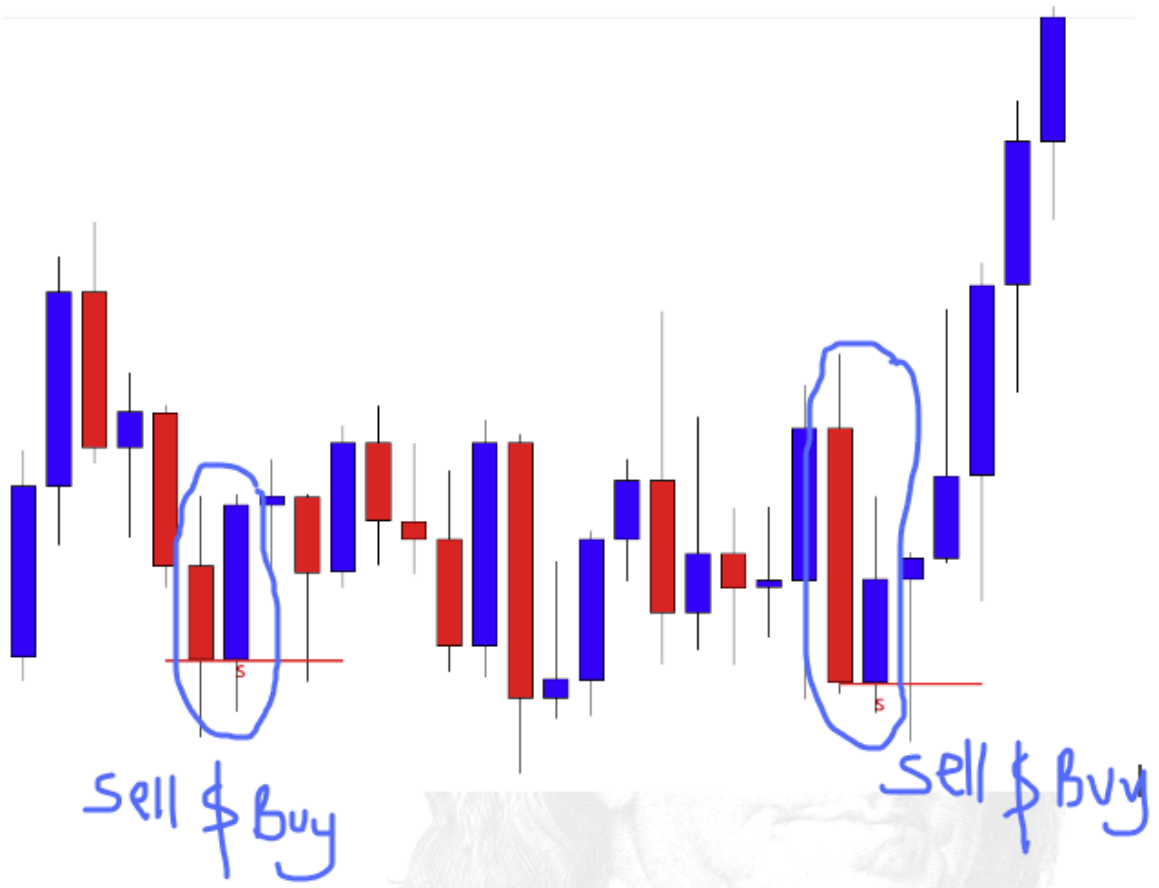


Resistant or Support can be on the body or wick depending on the location of your Order Block.

If you consider body, then;

- **Resistant (R) = is made up of a buy and a sell candle**
- **Support (S) = is made up of a sell and a buy candle**




Sell $ Buy
Sell $ Buy

b) How to mark SnR

Consider the following when marking your institutional SR

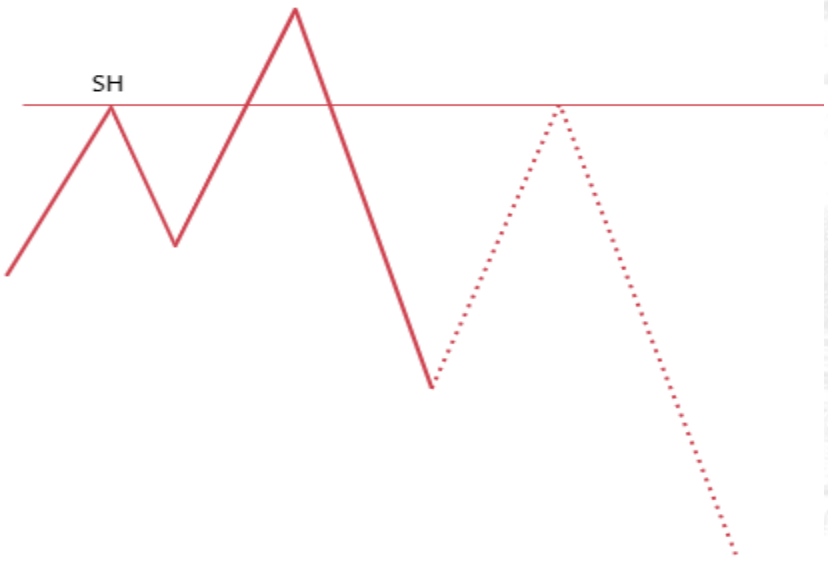
- ✔ Mark on HTF, preferably on **H4, D1, W1 or MN.**
- ✔ Mark the wick of a candlestick if it has a long wick/shadow, and mark the bodies if the wick/shadow is short.
- ✔ Switch to the line chart to spot strong Support and Resistance (sharp Vs).

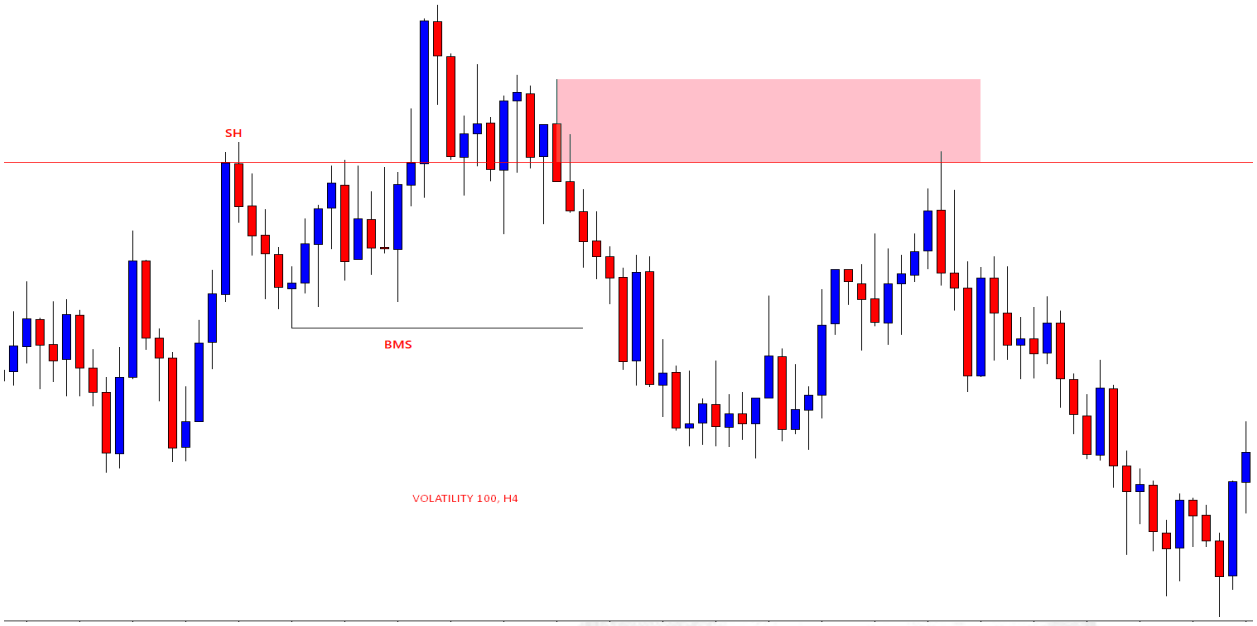
c) How to Trade SnR

1) Liquidity Raid/Stops Hunting (SH)/Quasimodo (QM)

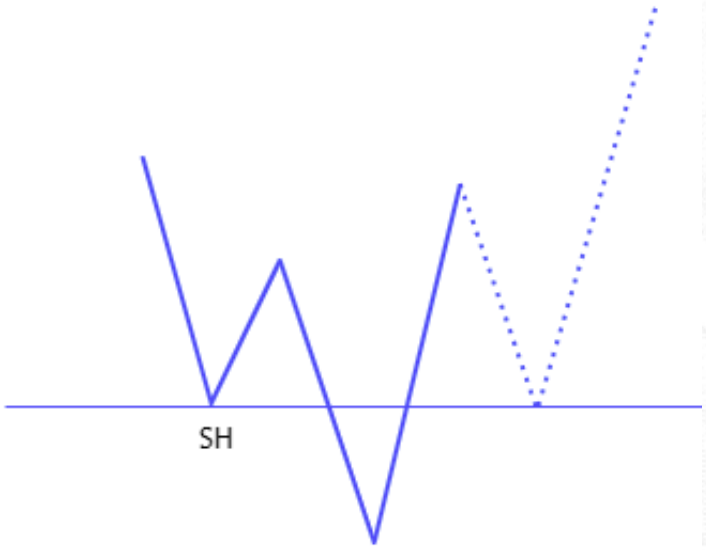
You can use SnR to spot potential Fake-Breakouts **(FAKEOUTS)**, which could signal **Market Reversals or end of pullback for Continuation.**

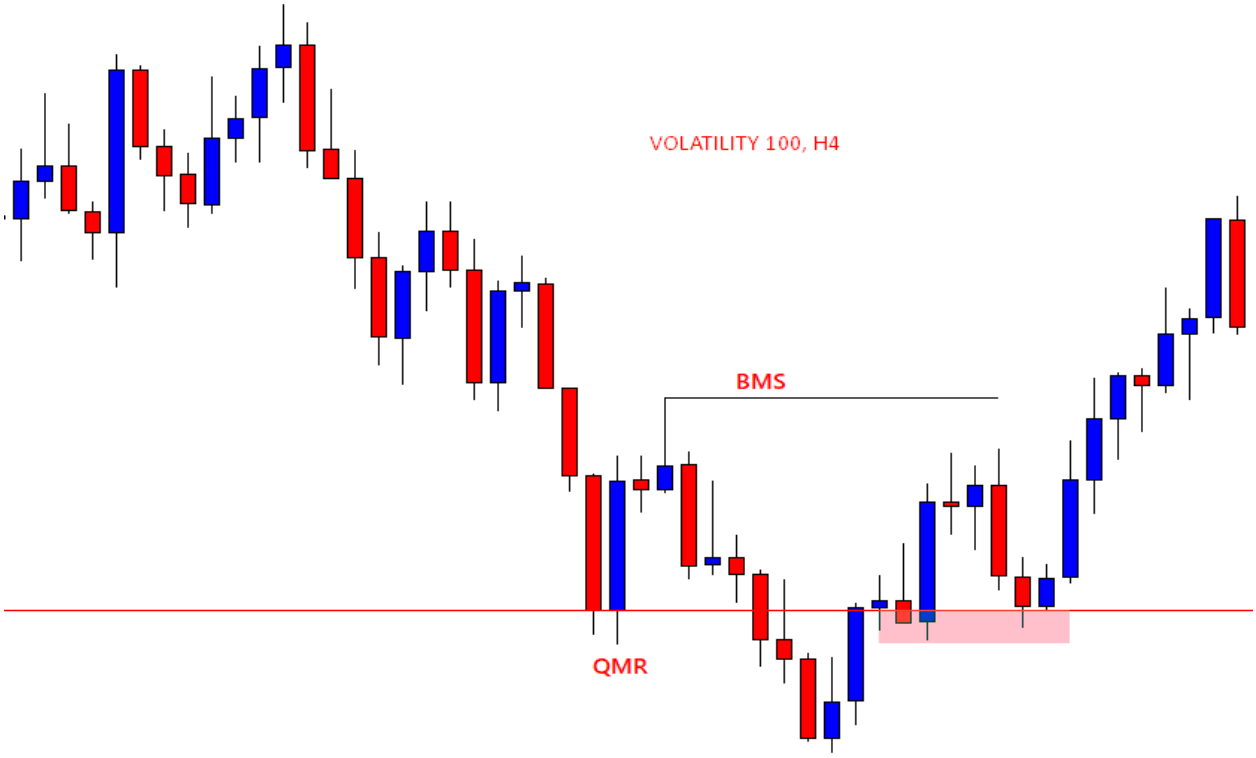
SH of Buy Sides Liquidity (BSL)





SH of Sell SideS Liquidity (SSL)





SH Rules

- ✔ HTF Confirmation (Directional Imbalance)
- ✔ Price MUST Reject HTF Keyzone (Key Support or Resistant Levels)
- ✔ Price MUST make Reversal Patterns (BMS) + Manipulation (SH/QM)

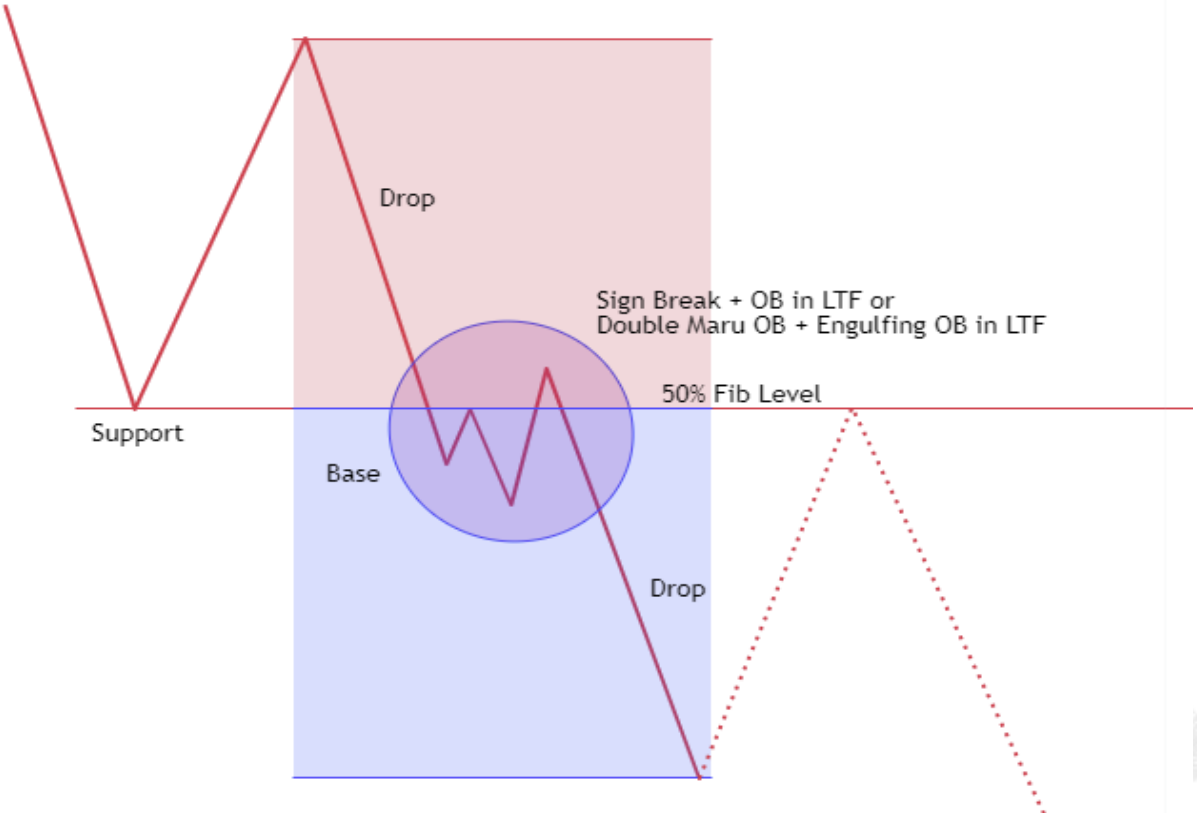
2) Support & Resistant Continuation 1 (SnRC1)

You can also use SnR to spot significant breakouts, which could signal market continuation.

When the price trends, say Bullish, we anticipate Resistant to Become Support (RBS) after a significant break of the Resistant level.

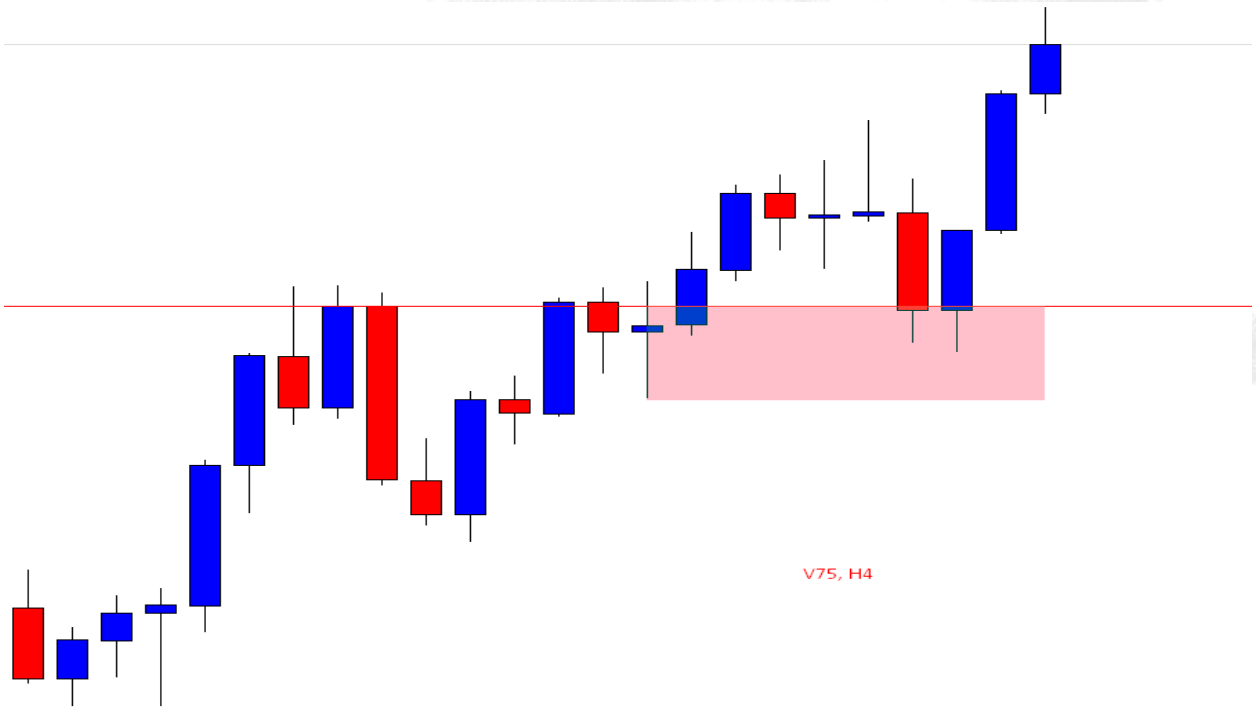
Similarly, when the market is Bearish, we anticipate Support to Become Resistant (SBR) after a significant support level break.

SnRC1 Sell





SnRC1 Buy



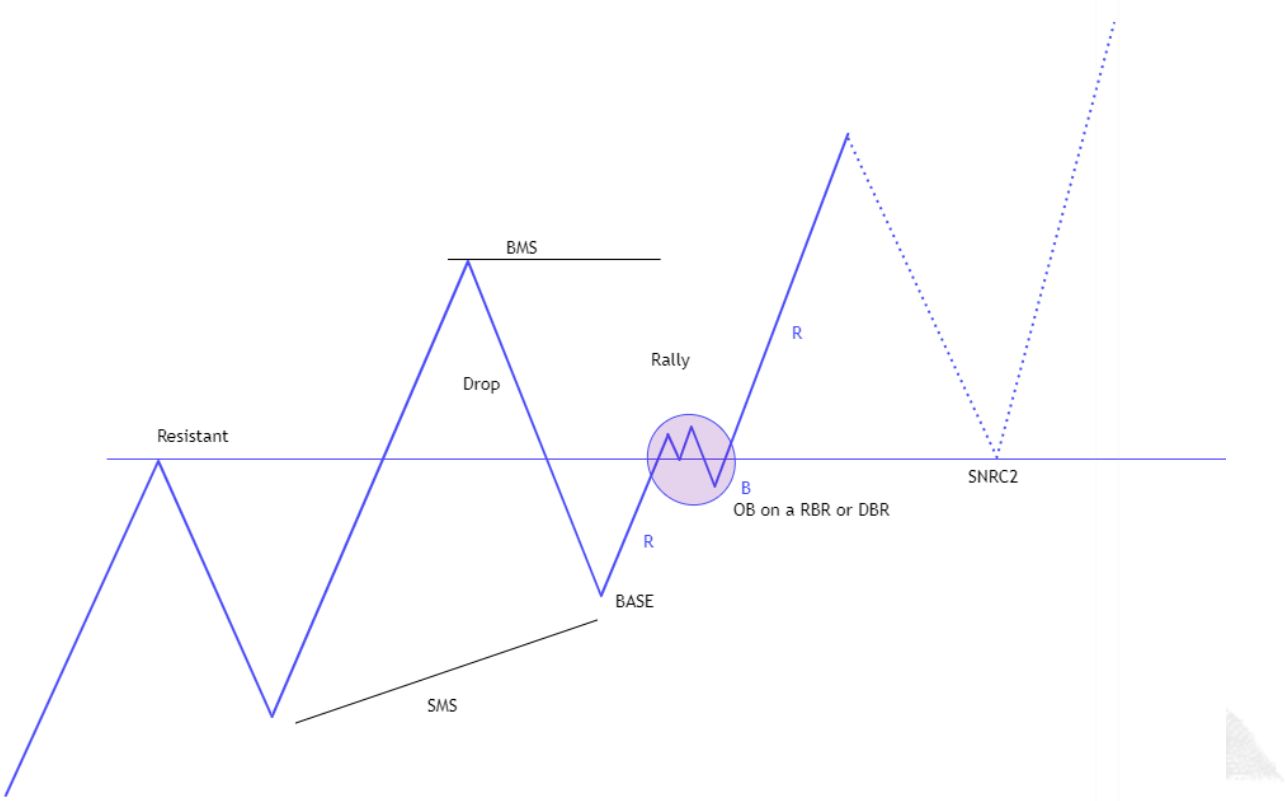
SnRC1 Rules (Buy example)

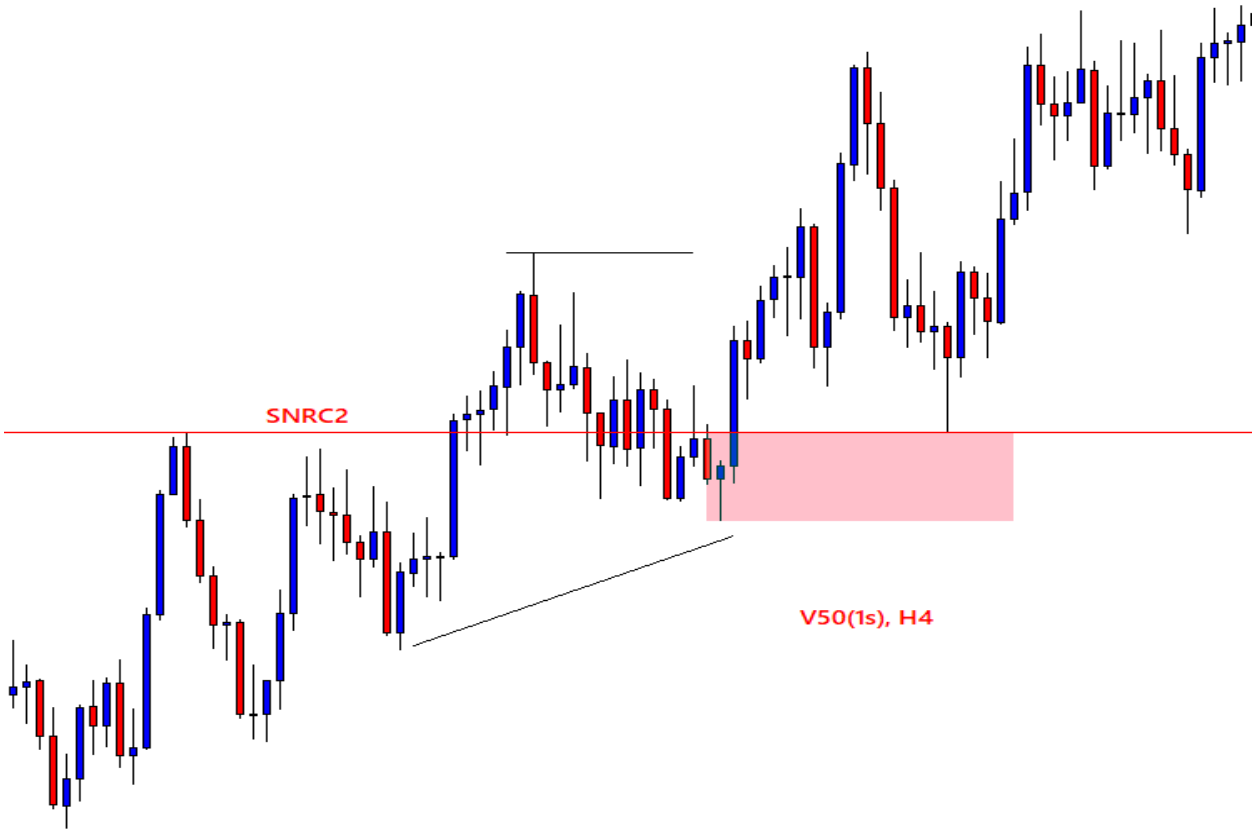
- ✔ Only trade after Reversal (on a Continuation Market)
- ✔ Wait for a Break of Resistant (or a Key level)
- ✔ Mark RBR (OB MUST be in line with the Resistant)

3) Support & Resistant Continuation 2 (SnRC2)

This occurs when price manipulates SnRC1 and makes a Demand zone (DBR) or a Supply zone (RBD). SnRC2, in summary, is simply a manipulated SBR/RBS.

SnRC2 Buy





SnRC2 Sell



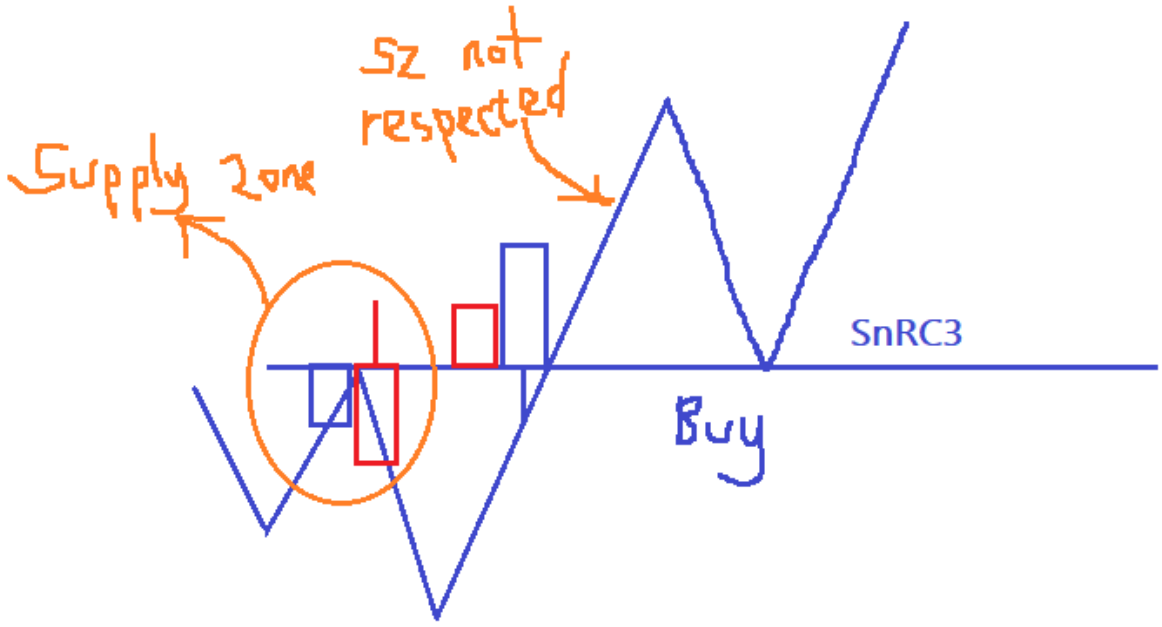
SnRC2 Rules (Buy example)

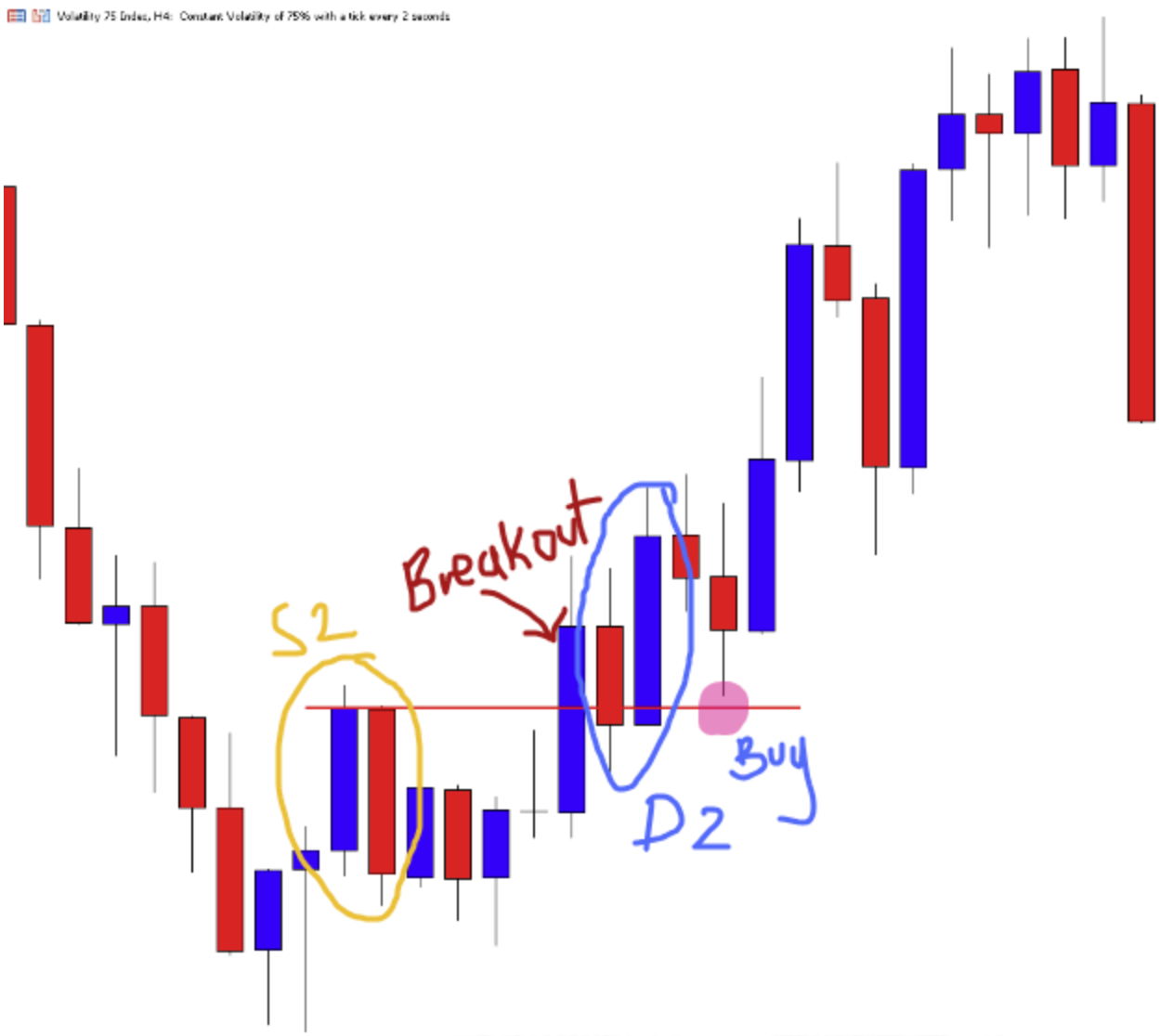
- ✔ Only trade after Reversal (on a Continuation Market)
- ✔ Wait for the Manipulation of SnRC1, followed with a BMS of Market Structure High (MSH)
- ✔ Mark Demand zone - DBR (OB MUST be in line with the manipulated Resistant)
- ✔ DBR MUST NOT manipulate the Market Structure Low (MSL) - Market creates a Shift in Market Structure (SMS).

4) Support & Resistant Continuation 3 (SnRC3)

This occurs when price does not respect SnRC2 and instead, move to opposite direction. (Market manipulates Supply or Demand zone).

For instant, when market manipulate supply zone, it creates a demand zone in the same line with supply zone as shown below;




Volatility 75 Index, H4: Constant Volatility of 75% with a tick every 2 seconds
S2
Breakout
Buy
D2

Strong Support & Resistance Level?

So, what validates our SnR to be strong?

- ✔ We use **SSR** to know a strong SnR level.

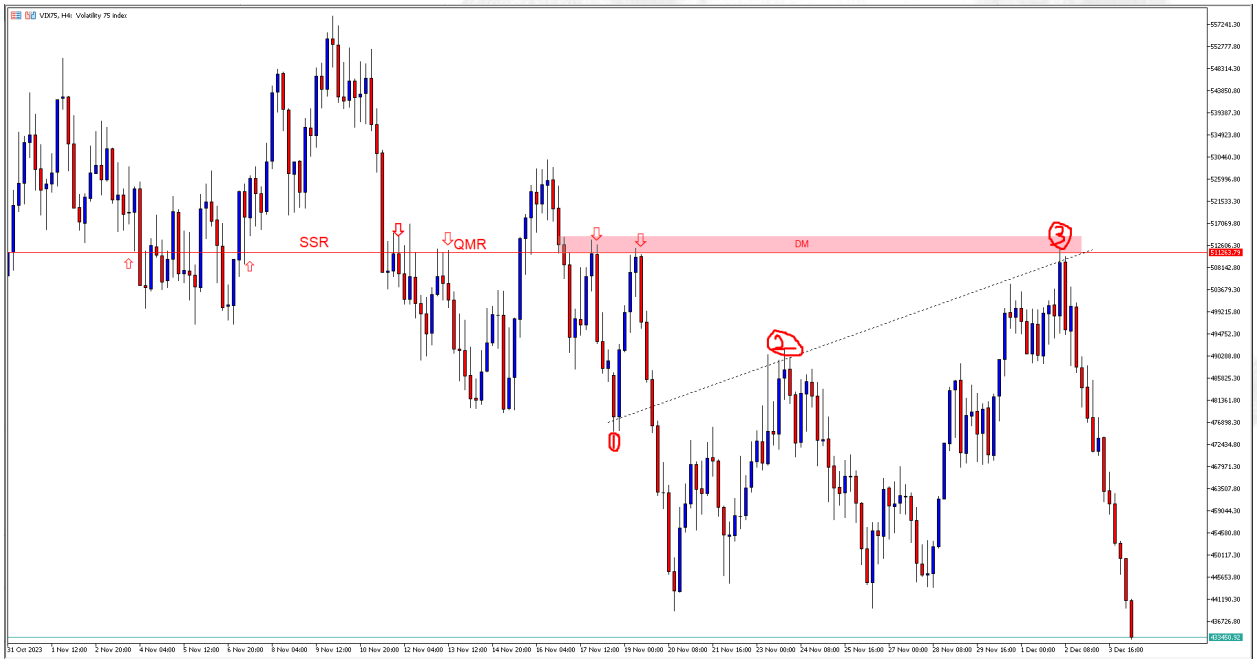
Significant Support & Resistance Level (SSR) is a **High Liquidity Zone (HLZ)** where the price has difficulties breaking through.

Technically, the price will reject the Resistant level more than one-time and the Support level more than one-time, indicating that large institutions are participating.

These significant levels of support and resistance are usually seen as areas of significant price action that indicate trend reversals or continuations.

They are also important indicators of price movements; you can use them to identify entry and exit points in the market if the market maker makes an SnD zone at these levels.

These levels are generally determined by analyzing past price action in combination with other institutional indicators such as SnD and OBs.

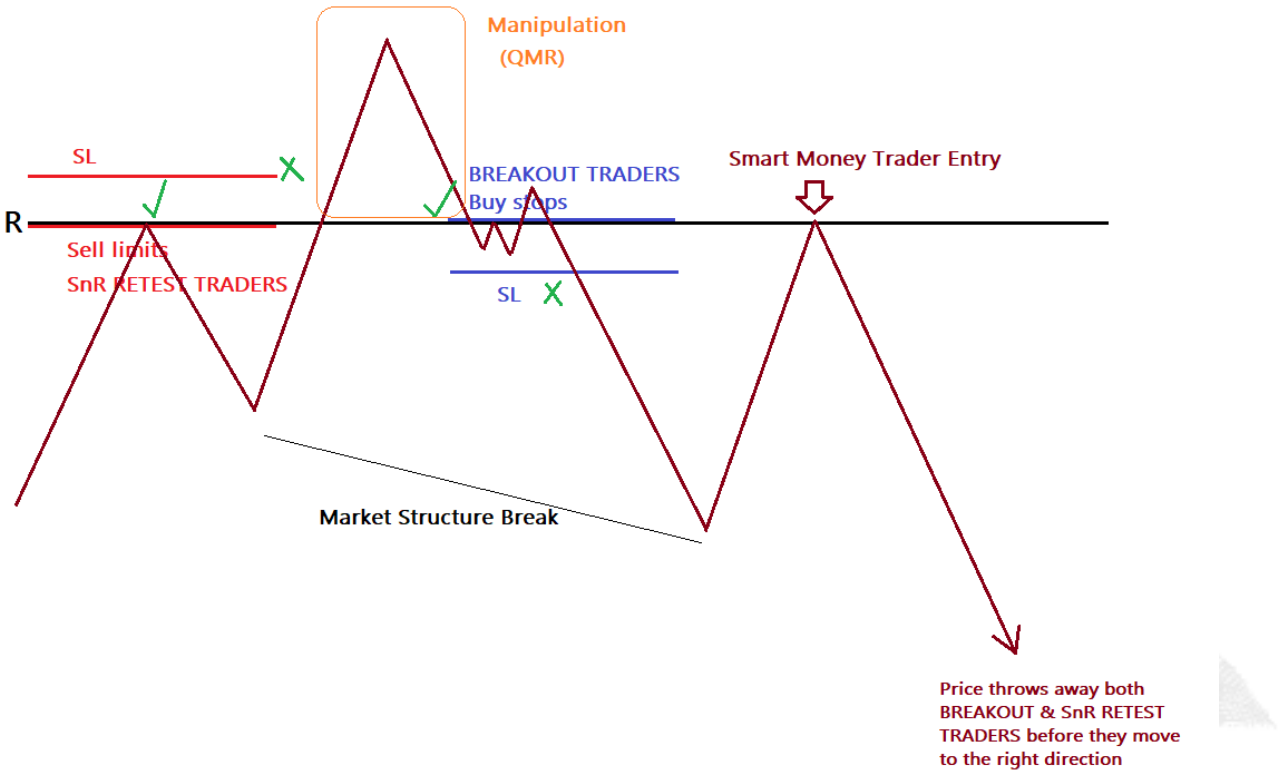


Retail vs Smart Money Approach to SnR

Retail mindset traders place their orders at SnR.

Example of how retail mindset participates at the Resistant Level;

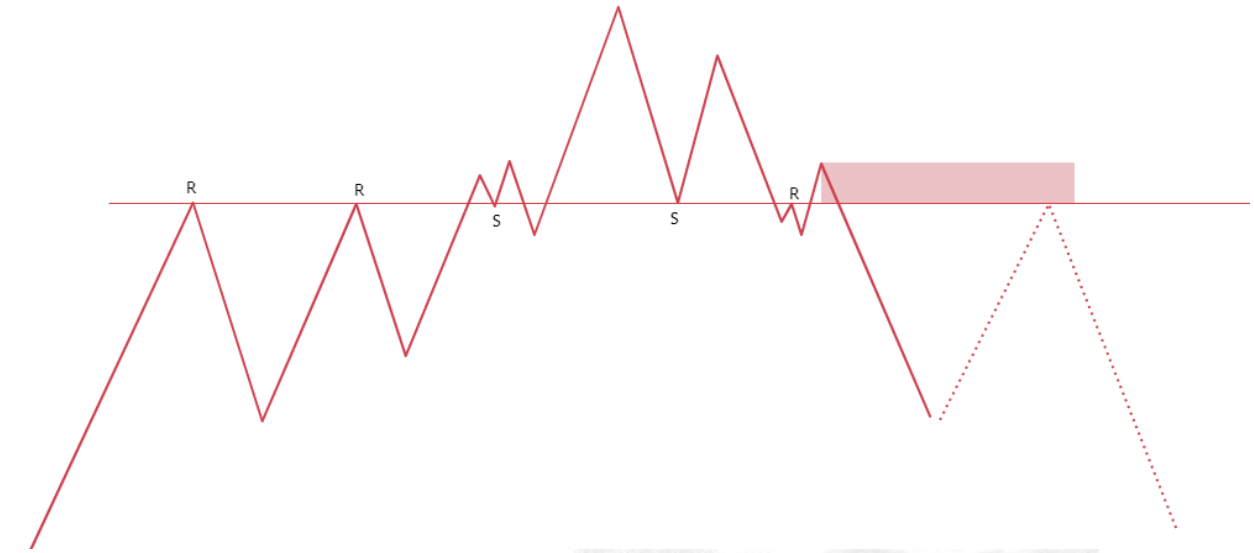
- Breakout traders place buy stops above Resistant (to benefit from price breakout). They place stop loss slightly below the resistance (to protect them in case the price breaks out and makes a U-turn.
- Similarly, Support & Resistant RETEST traders place the sell limit at a resistant level (hoping that the price will react at the R). They also place the SL slightly above the R (in case the R doesn't hold the price)

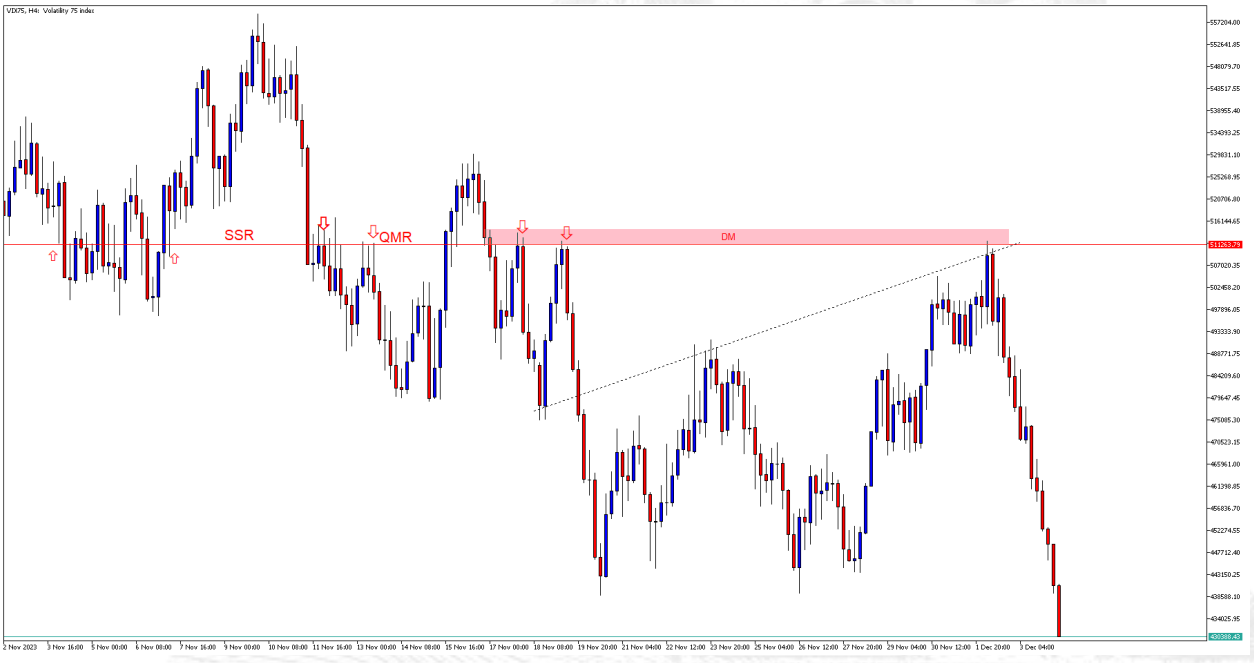


After all these, the market ends up activating all these orders, including clearing their SL and then making a true move (i.e. sell).

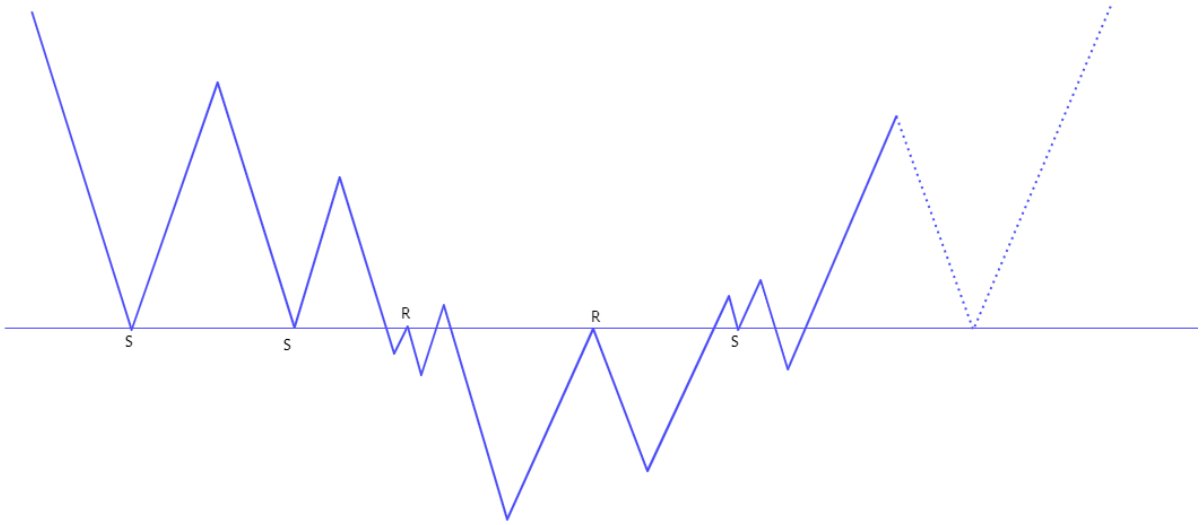
Smart Money mindset traders only engage the market after the market maker has played this DIRTY game!

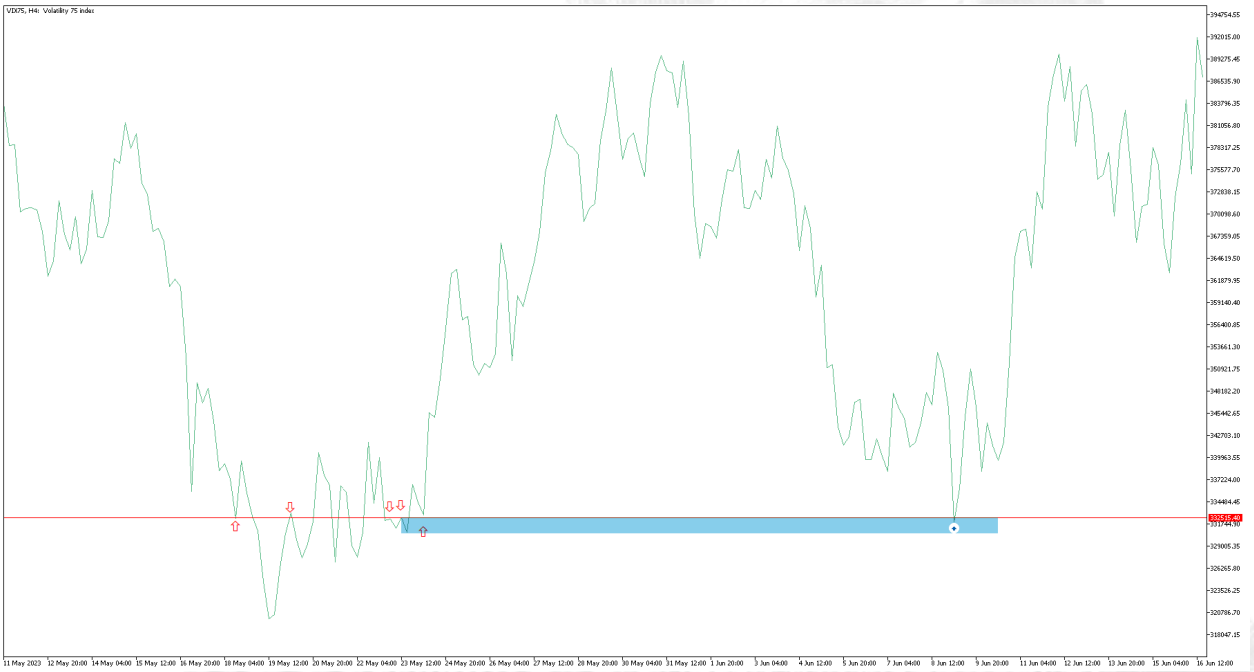
Retail Participation at the Resistant Level

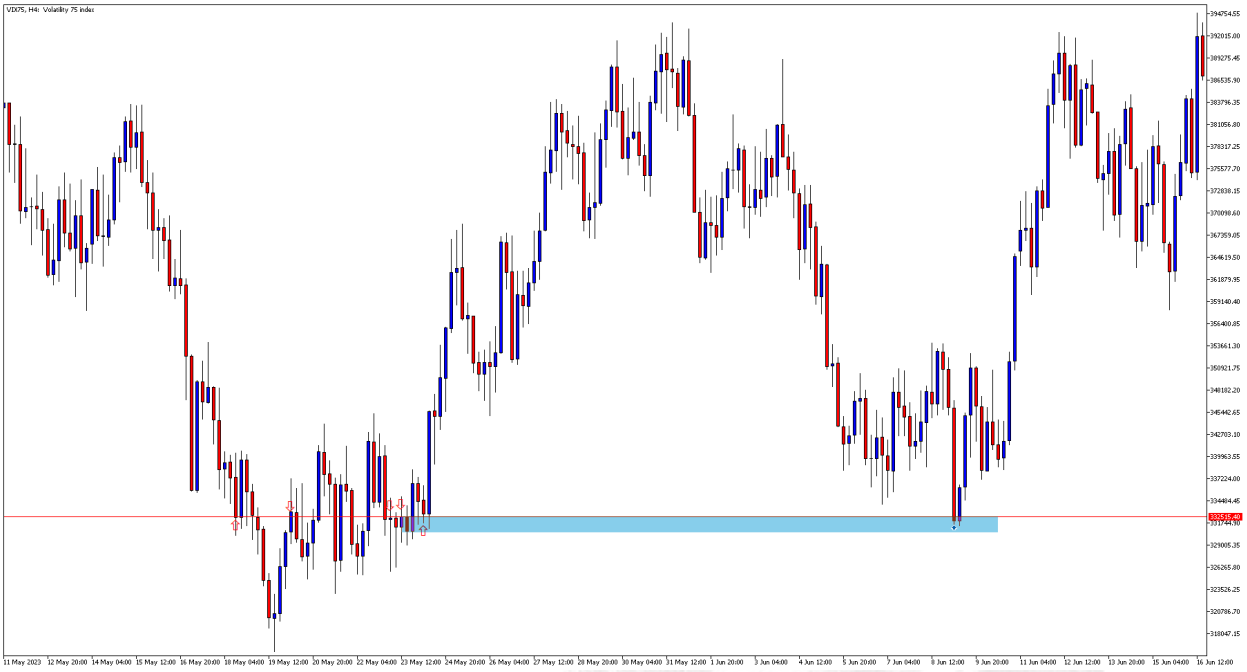




Retail participation at the Support Level







Smart Money SnR Pro Tips

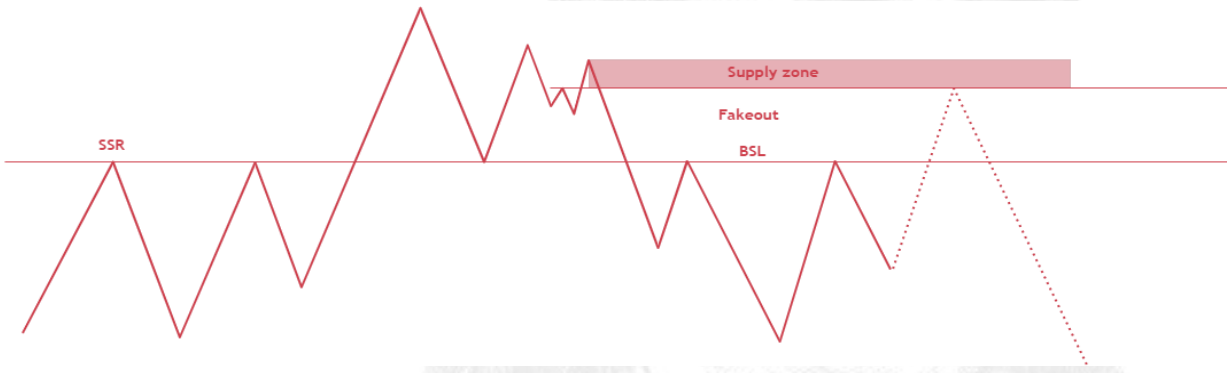
- ★ If you use Support or Resistant as a single candle, it should be a long shadow with a significant breakout to the opposite direction.
- ★ If you use multiple candles, it MUST be Sig. Support, Sig. Resistant, or SSR.
- ★ If you use SnR as an entry point, OB MUST be in the same line as SnR.
- ★ SH, SnRC1, SnRC2 & SSR which are in the same line as SSR, gives High-Probability setups.

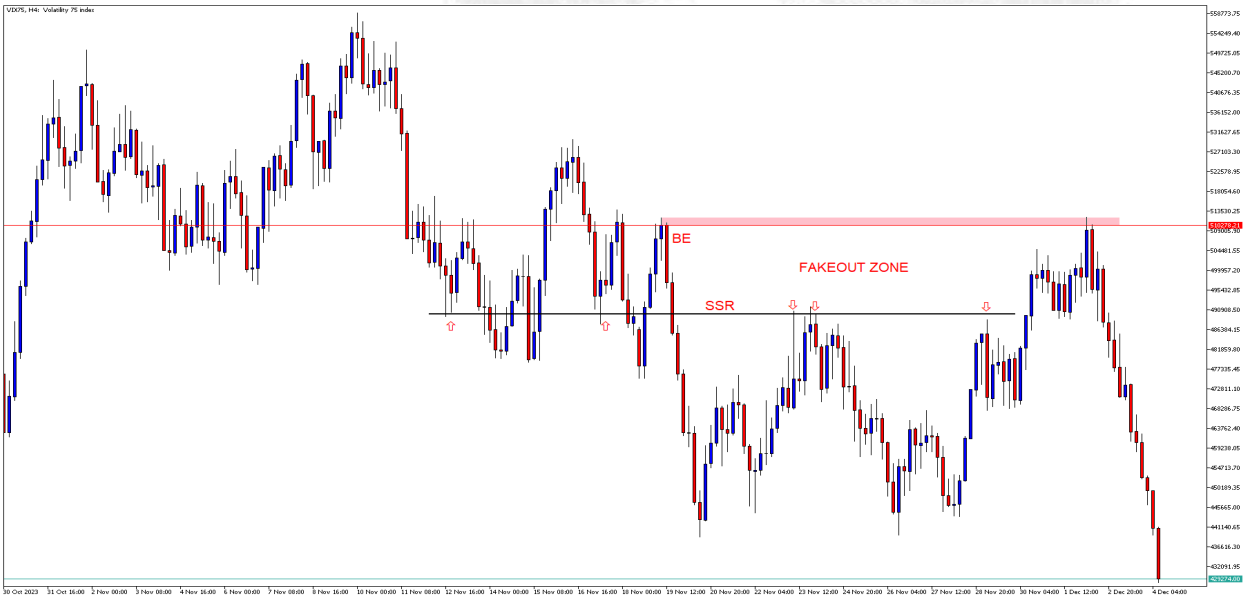


Important of SSR in Forex Market

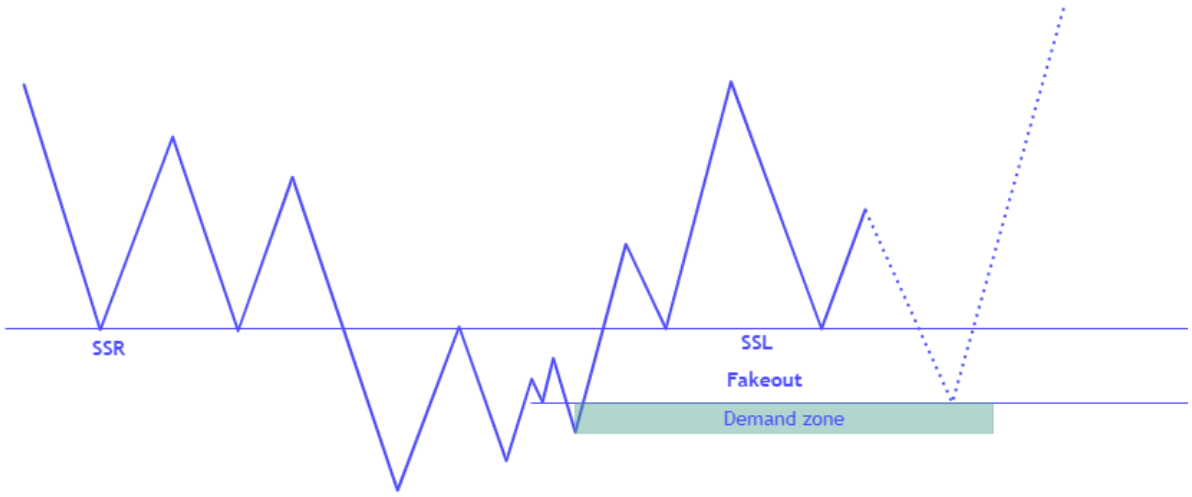
- ➢ **As a role reversal:** To determine Liquidity Hunt (SH), Quasimodo Pattern (QM) (Check SH example).
- ➢ **As a trend continuation indicator:** SBR, or RBS (check SnRC1 examples). So, on SNRC1/2/3 setup, instead of having only 1 S or R, **make sure its SSR for high probability**.
- ➢ **As a line to determine Fakeout Manipulation** to avoid being the liquidity (Example below).

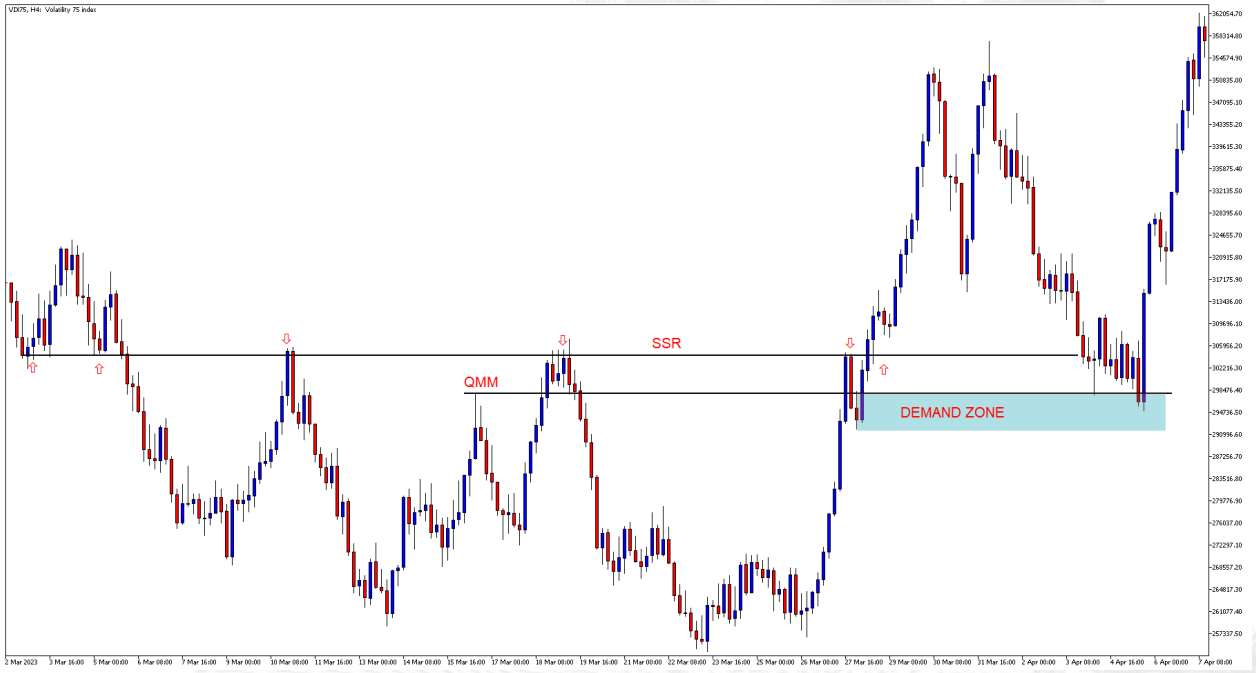
BSL Fakeout





SSL Fakeout





Supply & Demand

Price moves from one point to another because of an imbalance in supply and demand. The objective of the market maker is to collect liquidity and mitigate to fill imbalance.

What Causes Imbalance in The Forex Market

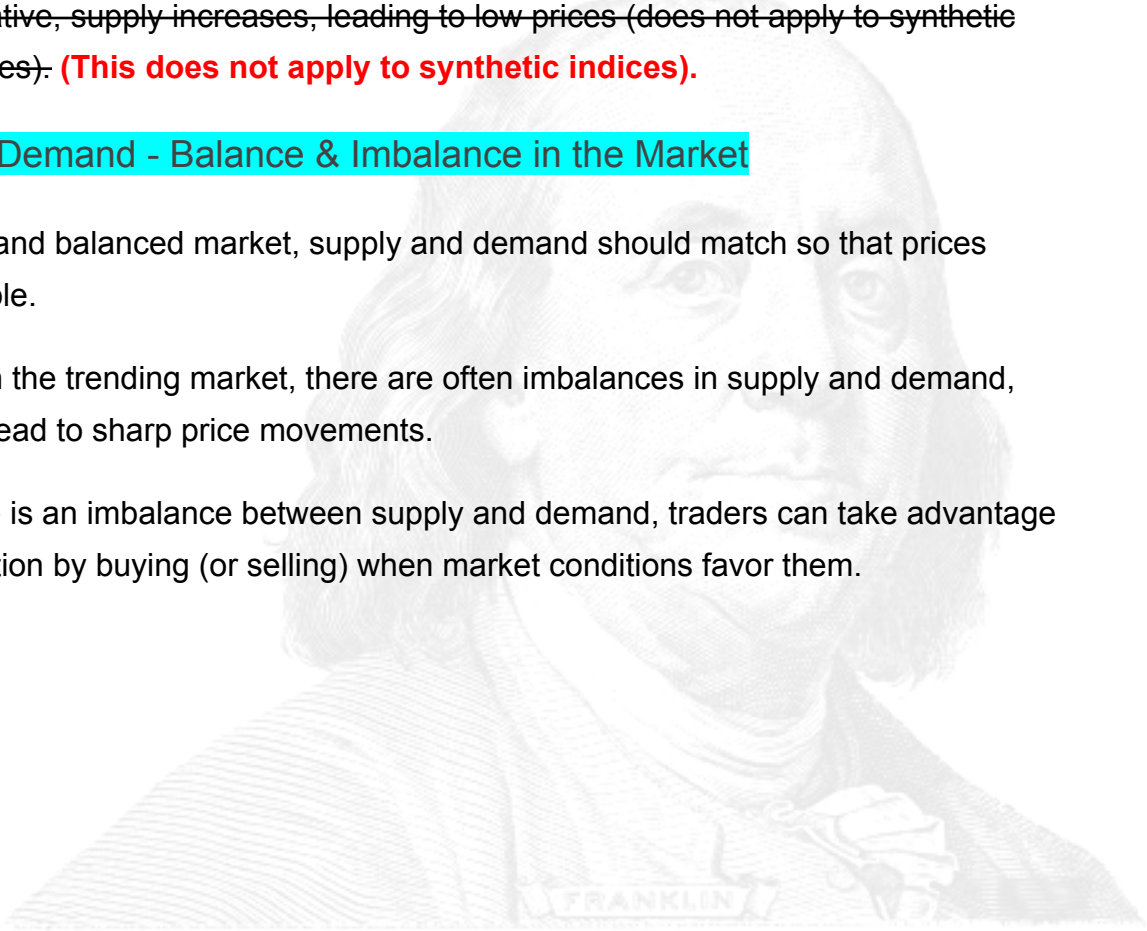
- Big investors, Large institutions, and the Central Bank.
- ~~High Impact news, if positive, demand increases, leading to high prices; if negative, supply increases, leading to low prices (does not apply to synthetic indices).~~ **(This does not apply to synthetic indices).**

Supply & Demand - Balance & Imbalance in the Market

In an ideal and balanced market, supply and demand should match so that prices remain stable.

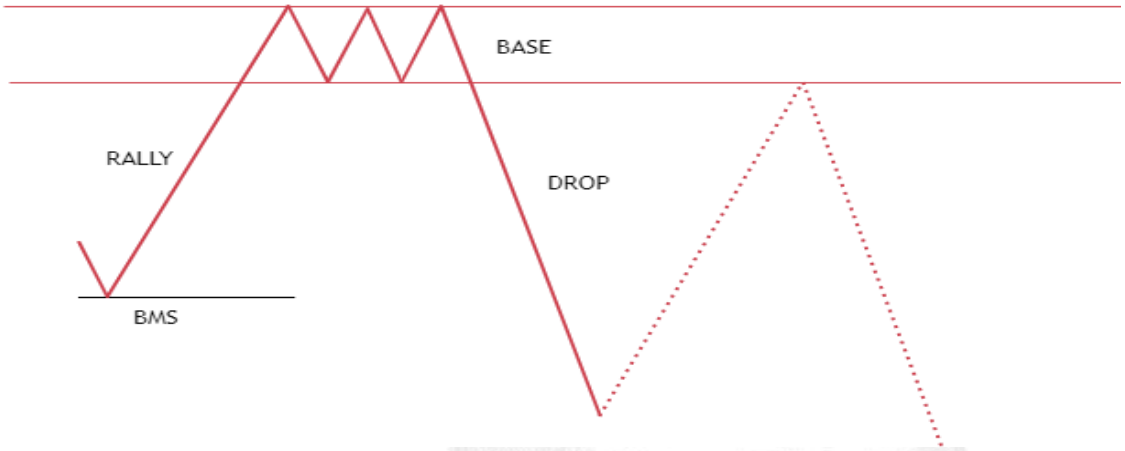
However, in the trending market, there are often imbalances in supply and demand, which can lead to sharp price movements.

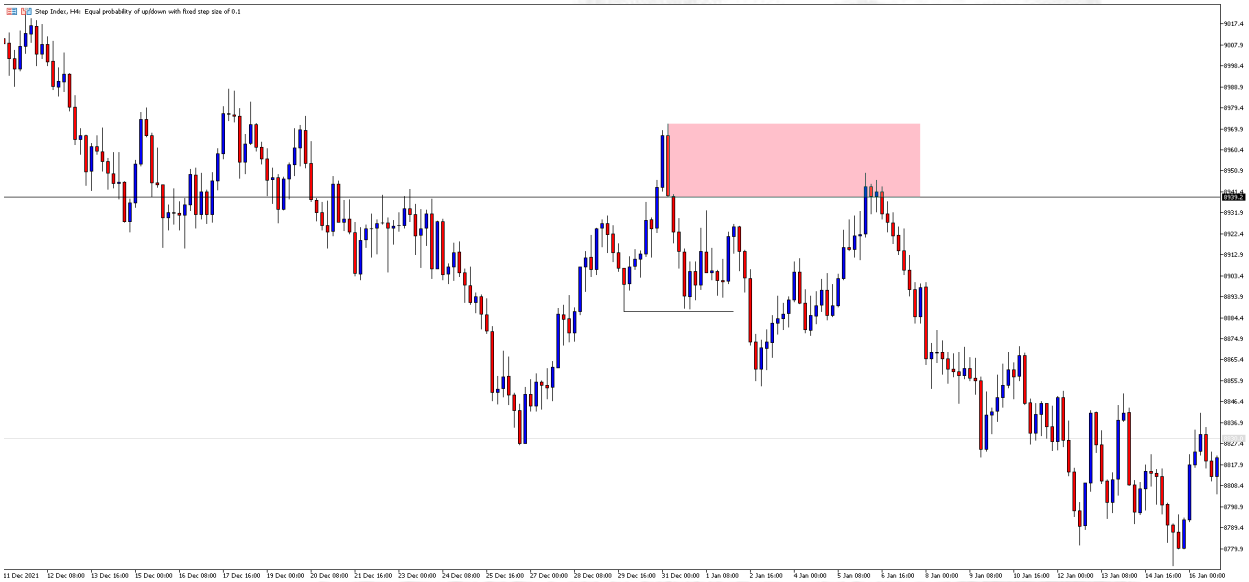
When there is an imbalance between supply and demand, traders can take advantage of the situation by buying (or selling) when market conditions favor them.



Types of Supply & Demand

1. Supply zones - RBD (Reversals)

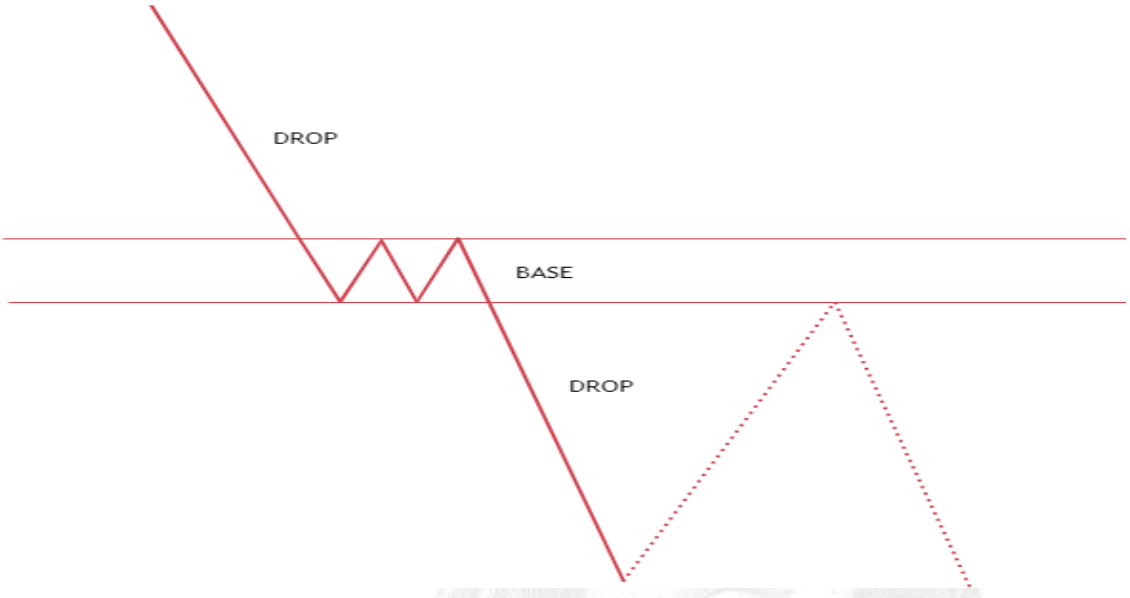


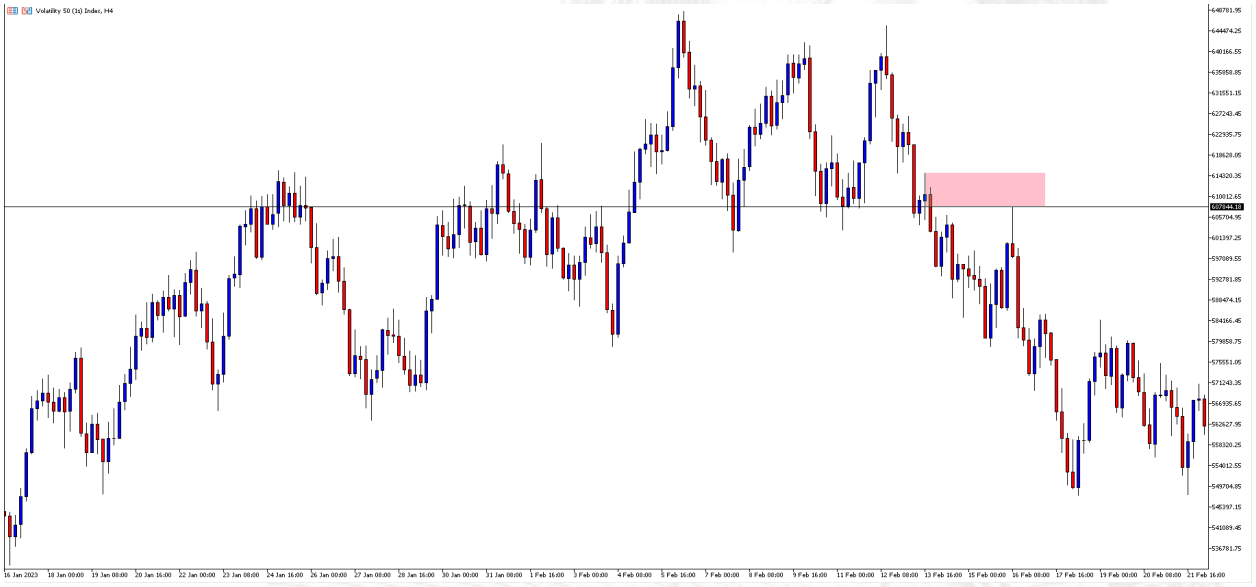


RBD Rules

- ✔ **Bearish OB MUST be at the base**
- ✔ **Drop MUST BMS the Rally**
- ✔ **Rally & Drop MUST be IMBALANCE (AGGRESSIVE MOVE)**
- ✔ **SZ MUST be at or near the S or R Level**

2. Supply zones - DBD (Continuation)

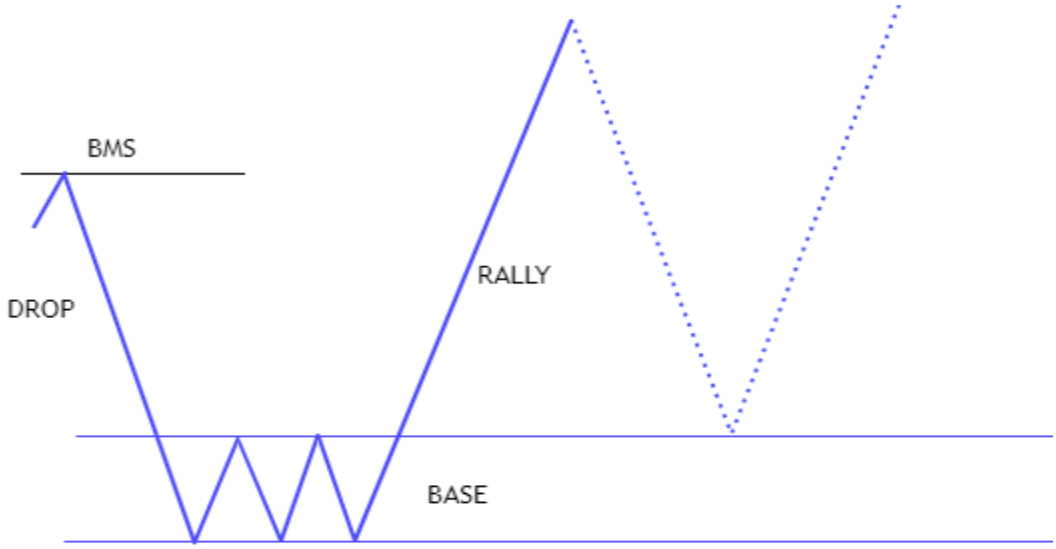


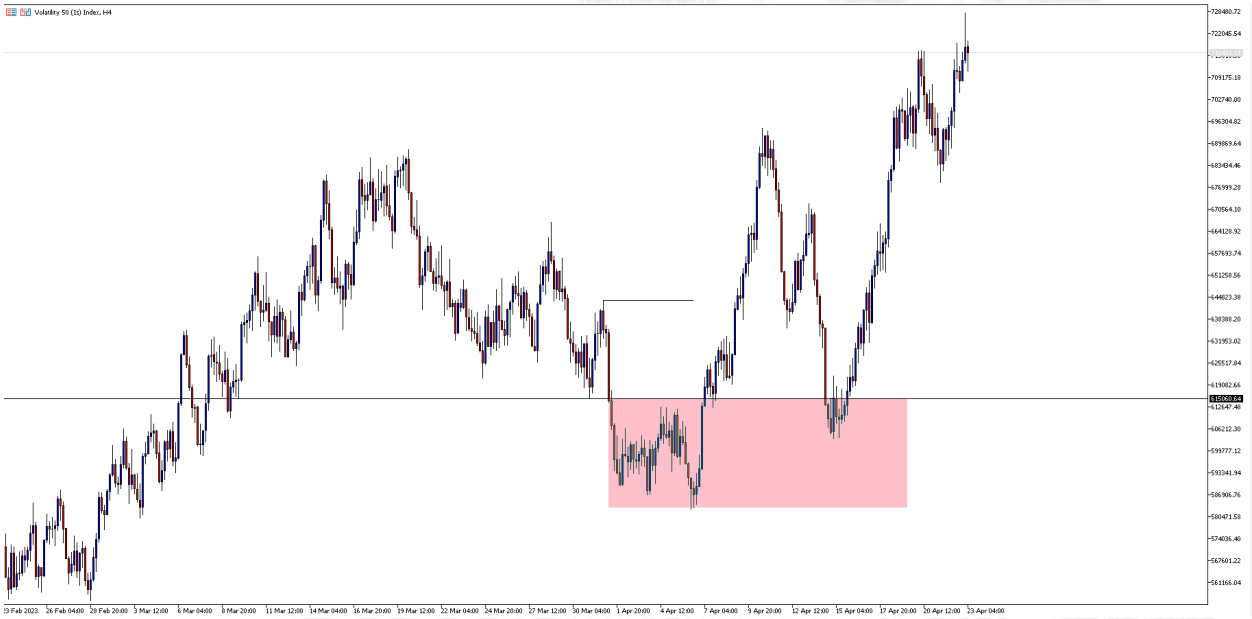


DBD Rules

- ✔ **Bearish OB MUST be at the base**
- ✔ **2nd Drop MUST break a strong S level**
- ✔ **Both Drops MUST be IMB (AGGRESSIVE MOVE)**
- ✔ **SZ MUST be at or near the S or R Level**

3. Demand zones - DBR (Reversals)

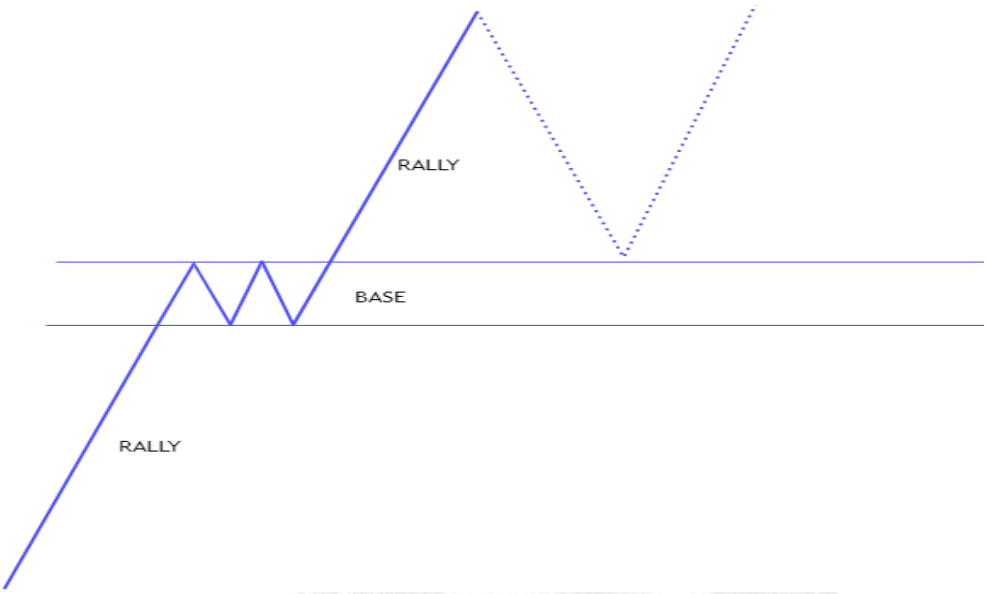


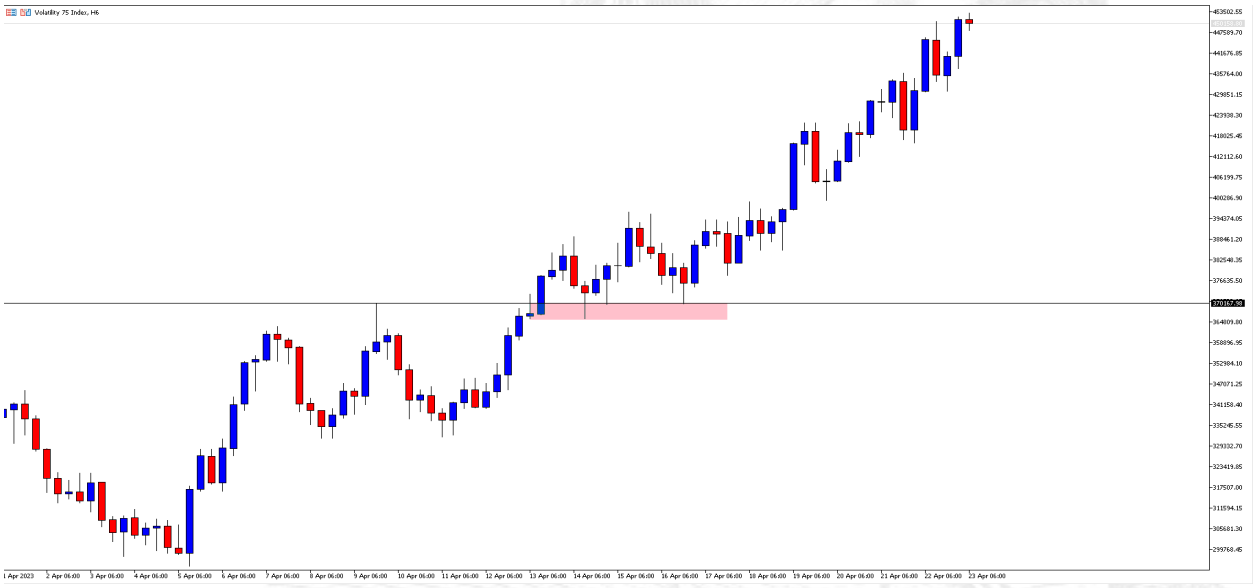


DBR Rules

- ✔ **Bullish OB MUST be at the base**
- ✔ **Rally MUST BMS the Drop**
- ✔ **Drop & Rally MUST be IMB**
- ✔ **DZ MUST be at or near the S or R**

4. Demand zones - RBR (Continuation)





RBR Rules

- ✔ **Bullish OB MUST be at the base**
- ✔ **Rally MUST break strong R**
- ✔ **Both Rally MUST be IMB**
- ✔ **DZ MUST be at or near the S or R**

Smart Money Approach to SnD

We can confirm the Supply or Demand zone by looking at the HTF MARKET DIRECTIONAL IMBALANCE.

The secret is to ensure that there is a significant drop (for Supply) and rally (for Demand) from the base area together with other RULE(S) such as BMS.

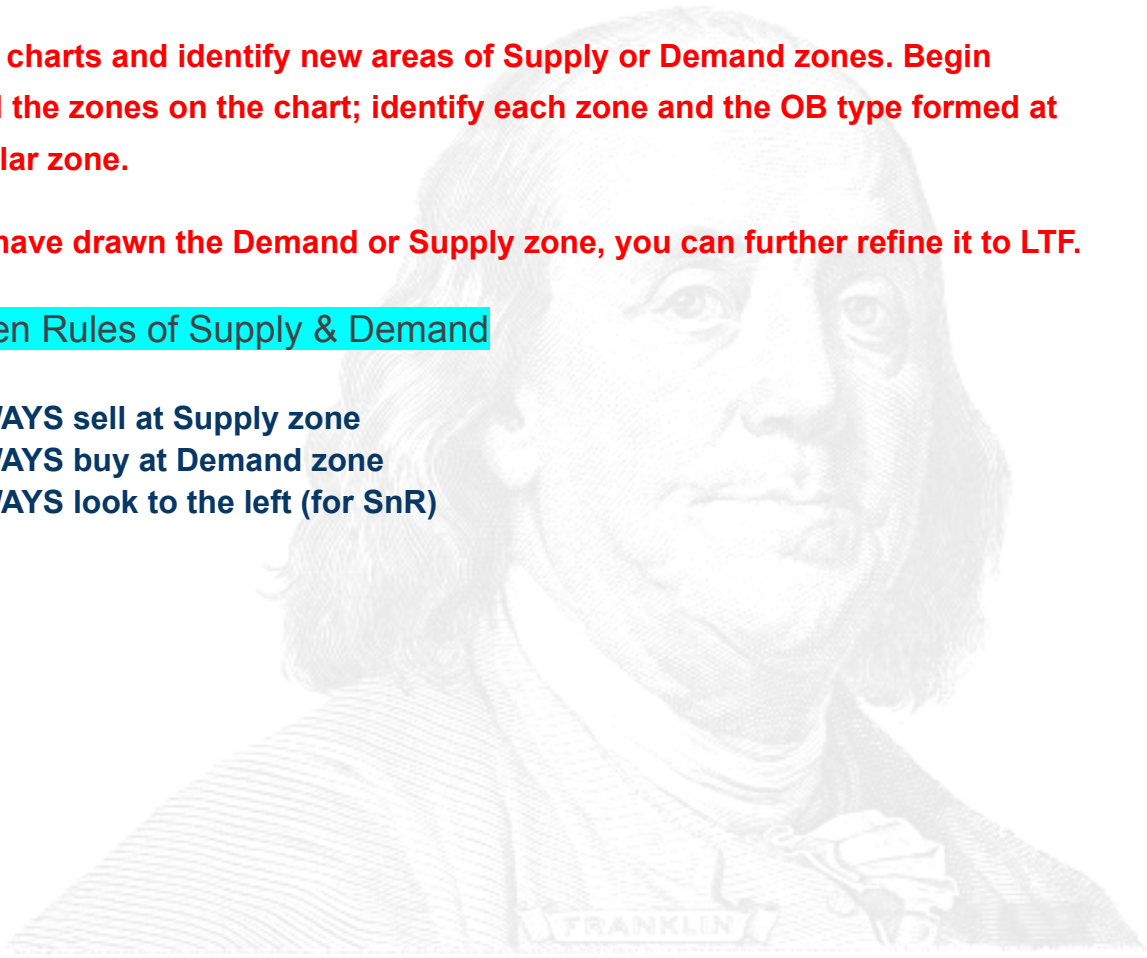
ASSIGNMENT;

Go to your charts and identify new areas of Supply or Demand zones. Begin drawing all the zones on the chart; identify each zone and the OB type formed at the particular zone.

Once you have drawn the Demand or Supply zone, you can further refine it to LTF.

The Golden Rules of Supply & Demand

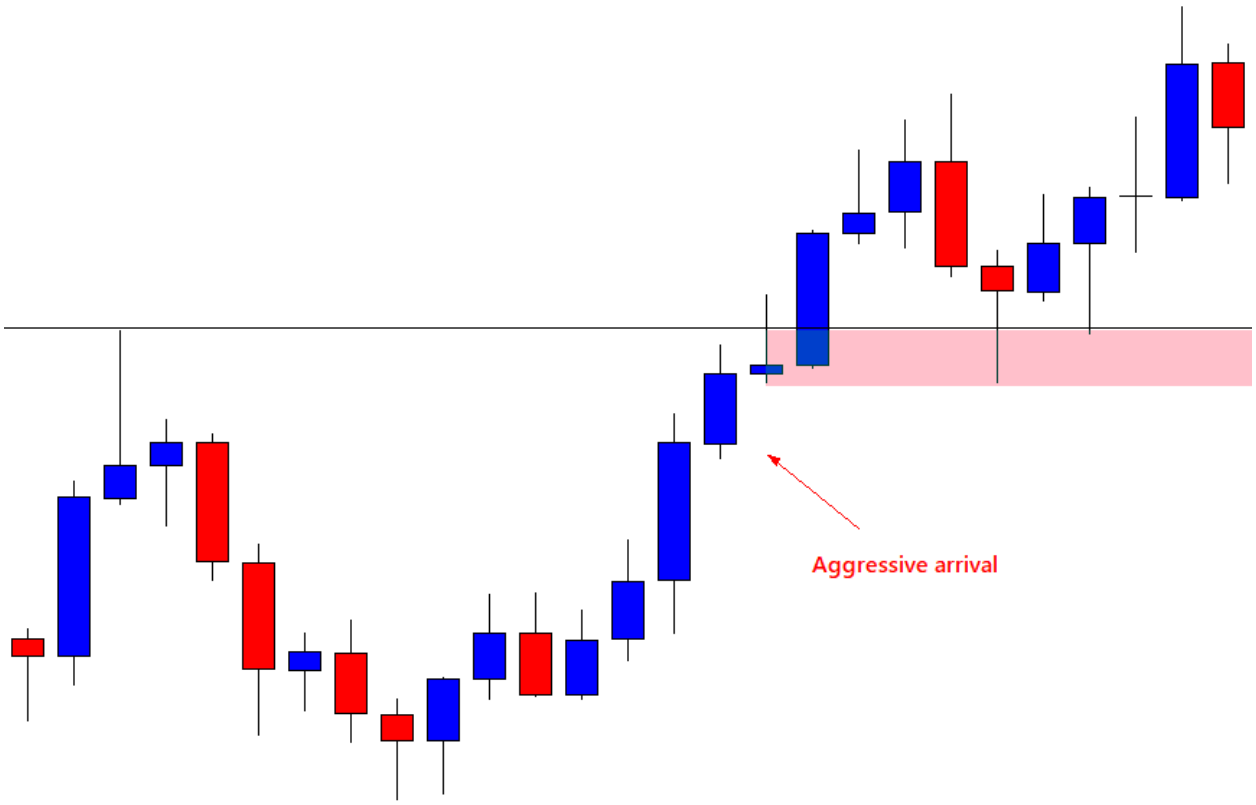
- **ALWAYS sell at Supply zone**
- **ALWAYS buy at Demand zone**
- **ALWAYS look to the left (for SnR)**



How to Determine Strong Supply & Demand Zones

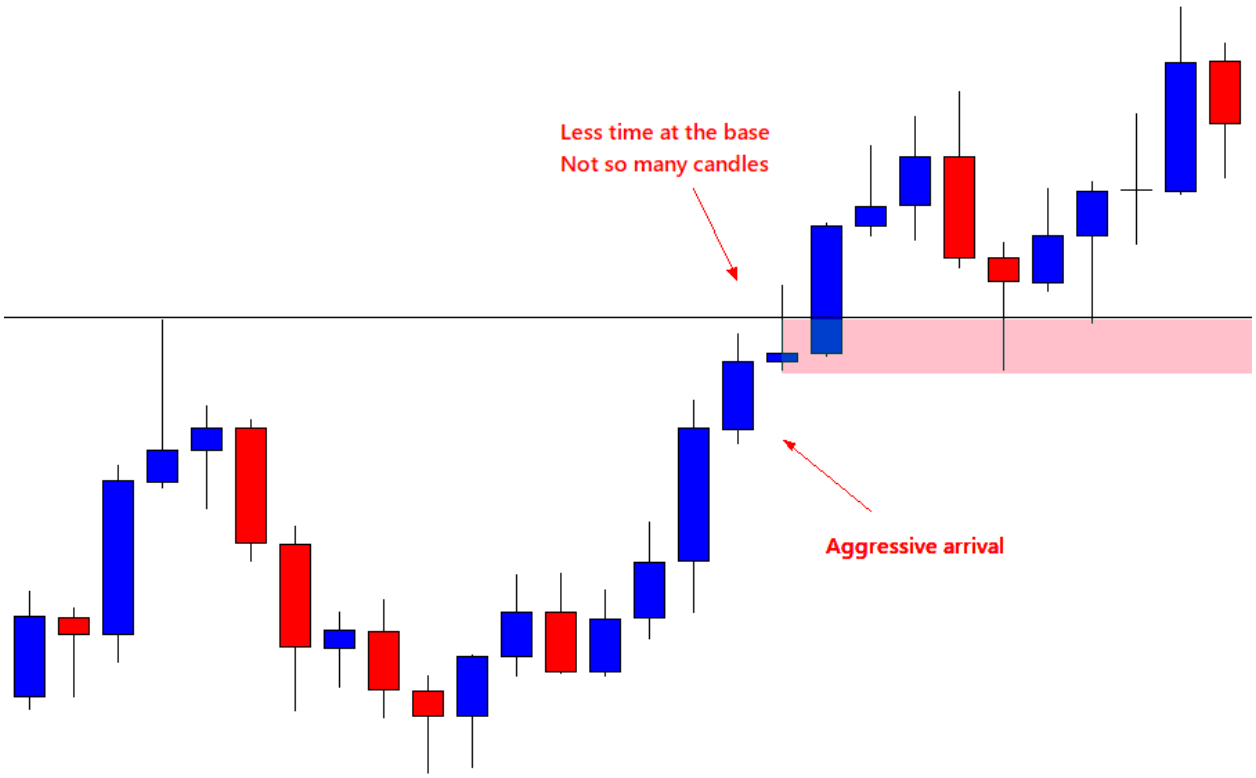
1. Arrival at the Base

- ➢ The steeper and stronger the arrival (ERC candles) is, the stronger the bounce will possibly be.
- ➢ Arrival at the Demand zone with ERC candles signals panic and fear.



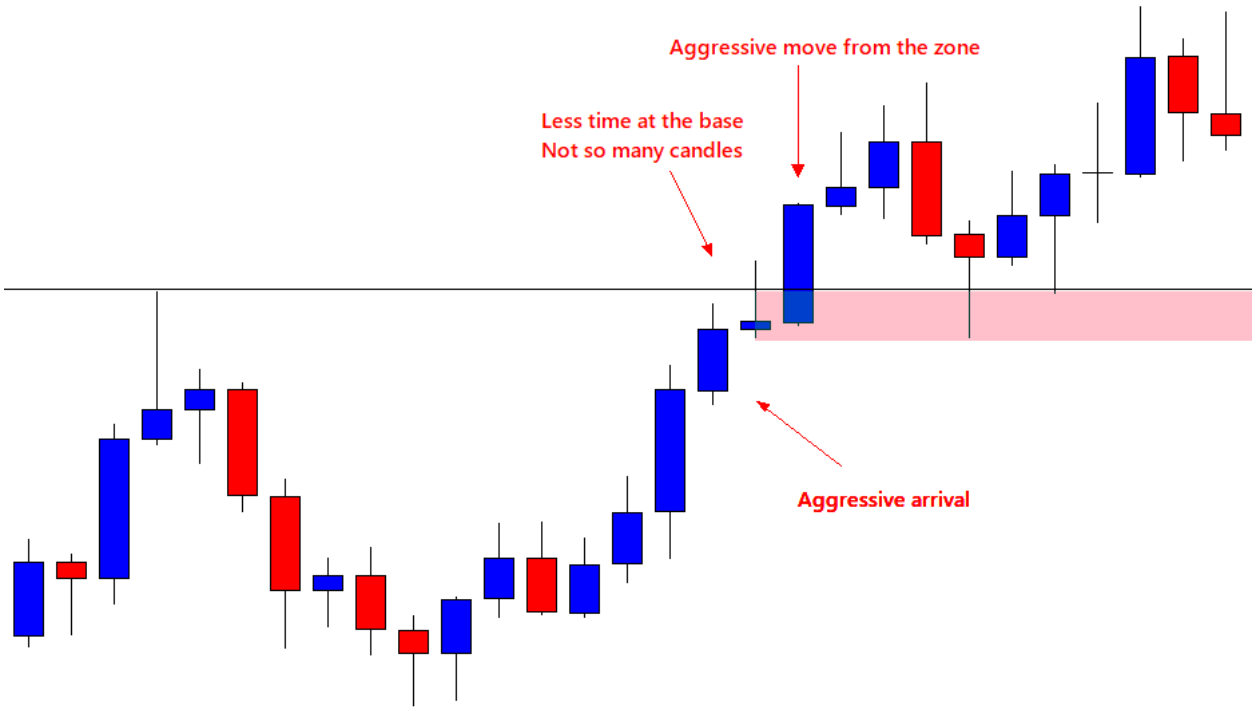
2. Time Taken at the Base

- ➢ Price should take less time at your Base
- ➢ Your Base MUST not have lots of candles, especially on HTF



3. Strength of the Base

➢ There MUST be an aggressive/stronger move out of your Base.



4. The Freshness of the Base

- ➢ Fresh zones have a high chance of respecting the price.
- ➢ If the zone has been retested, ensure the price did not close inside the zone, and also wait for confirmation entry if possible.



Smart Money Market Structure (MS)

Do synthetics indices make normal MS?

Synthetic indices are a distinctive type of financial instrument that imitates the movement of real-world markets.

However, what sets them apart is that real-world events do not influence them. Instead, they rely on a cryptographically secure random number generator to determine their value, which remains constant and unaffected by market and liquidity risks.

Additionally, synthetic indices exhibit stable volatility levels, making them an attractive option for investors looking for a stable and reliable investment opportunity.

Therefore, understanding market structure is an essential aspect of trading as it can help you make informed decisions about market direction, spotting liquidities and determine your entry and exit levels.

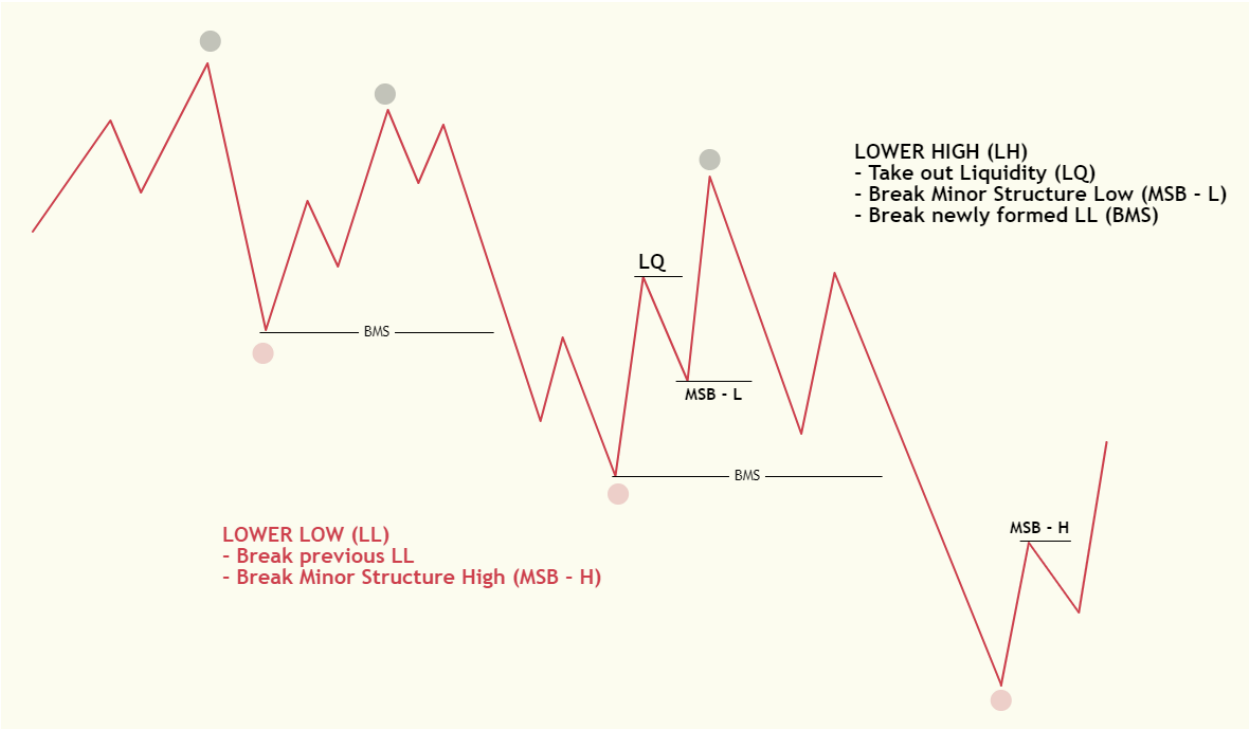
Types of MS

a) **Bearish Market**

Bearish market structures are typically characterized by Lower Highs (LH) and Lower Lows (LL) in price movements, meaning that each successive peak and trough is lower than the one before it.

This creates a downward trend in the overall price movement of the market (Bearish Institutional Order Flow).

- ✔ LH = Strong Highs
- ✔ LL = Weak Lows

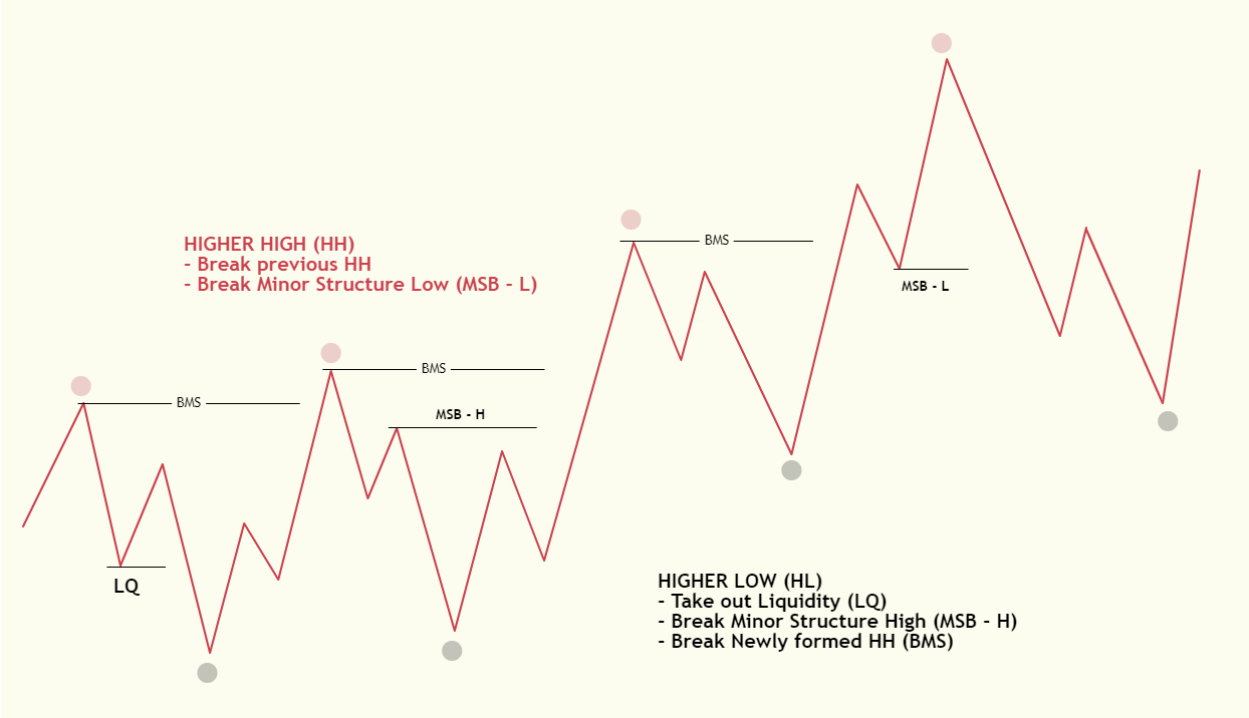


b) Bullish Market

Bullish market structures are typically characterized by Higher Highs (HH) and Higher Lows (HL) in price movements, meaning that each successive peak and trough is higher than the one before it.

This creates an upward trend in the overall price movement of the market (Bullish Institutional Order Flow).

- HH = Weak Highs
- HL = Strong Lows

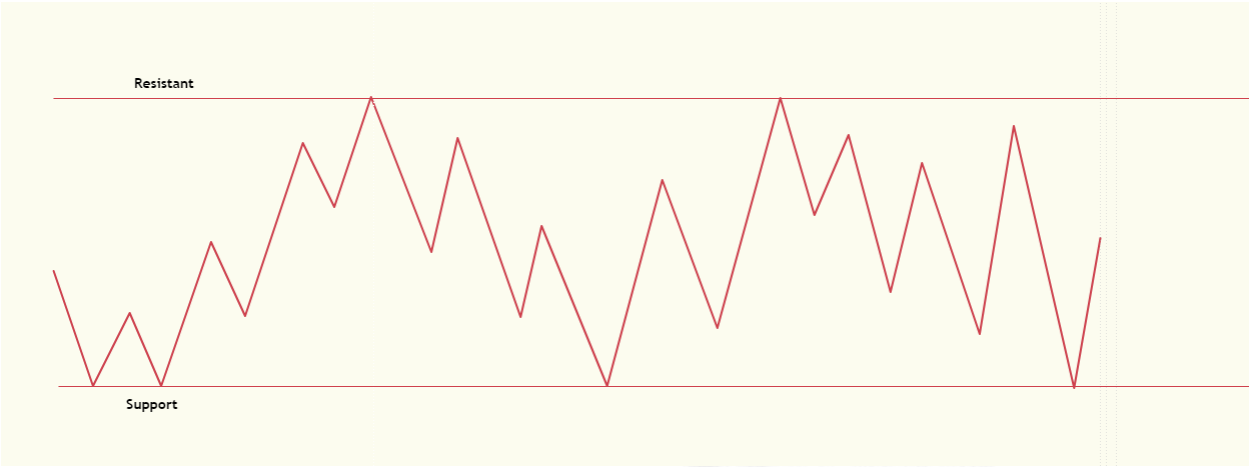


c) Consolidating Market.

In a consolidating market structure, the overall trend of the market is sideways or range-bound. This means that the market is not exhibiting a clear bullish or bearish trend, and instead, prices are trading within a relatively narrow range.

During consolidating market structures, price movements are contained within a support and resistance level, forming a price range or channel.

This means that the market is not making significant new highs or lows, and instead, price movements are oscillating between the upper and lower boundaries of the range.



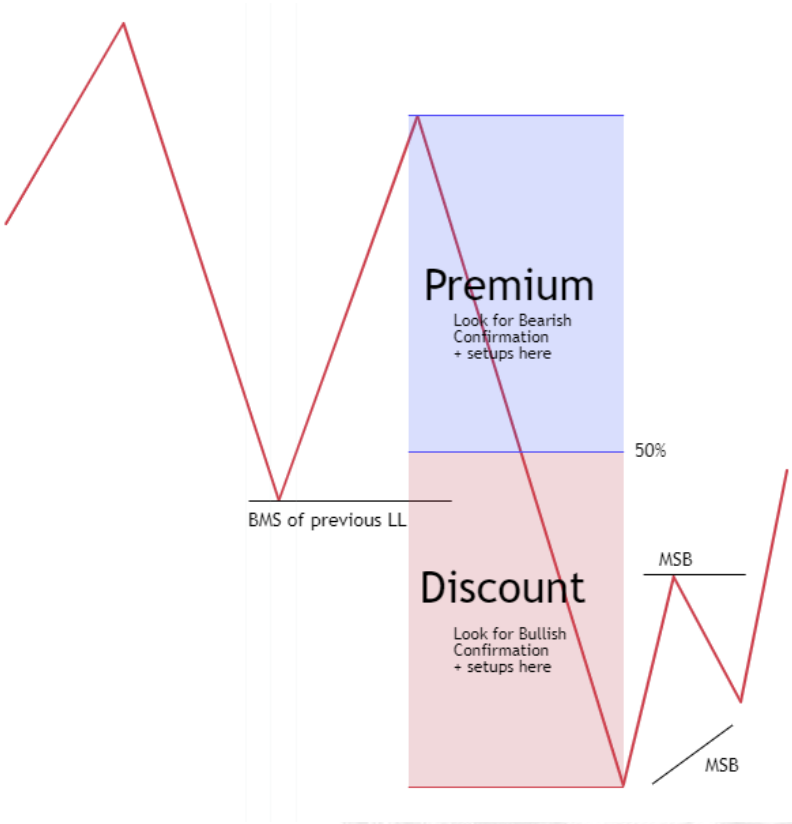
Trading Range (TR)

Where do you spot trading opportunities?

Trading range, also known as a price range, refers to the difference between the highest and lowest prices of an asset over a period of time (Usually measured in 0%, 50% and 100%).

You can identify the trading range on a price chart by dividing it into Premium and Discount. The range indicates the level of price volatility within that period and can provide valuable information to traders in terms of identifying support and resistance levels and liquidity zones.

Sell Example



Trading Range Rules (eg for a Bearish Market)

1. Price MUST BMS previous LL.
2. Wait for Minor Structure Break (MSB) in the form of SH or SMS.
3. Mark your TR and Divide it into Premium & Discount (i.e. 0%, 50% & 100%)
4. **Pro Tip:** SnRC1 OB MUST be on 50% TR (watch previous webinar VIDEOS)
5. Premium zones MUST have imbalance and this is where you spot selling opportunities.

HTF Market Directional Imbalance Confirmation

HTF Confirmation is a crucial step that entails the identification and delineation of market structure on a specific time frame (TF).

Once the market structure has been clearly marked, the next step is to identify directional imbalances, which can include:

- **Double Maru (DM)**
- **Engulfing (BE)**
- **Volume Imbalance (Vol IMB)**
- **Doji/Pin Bar**

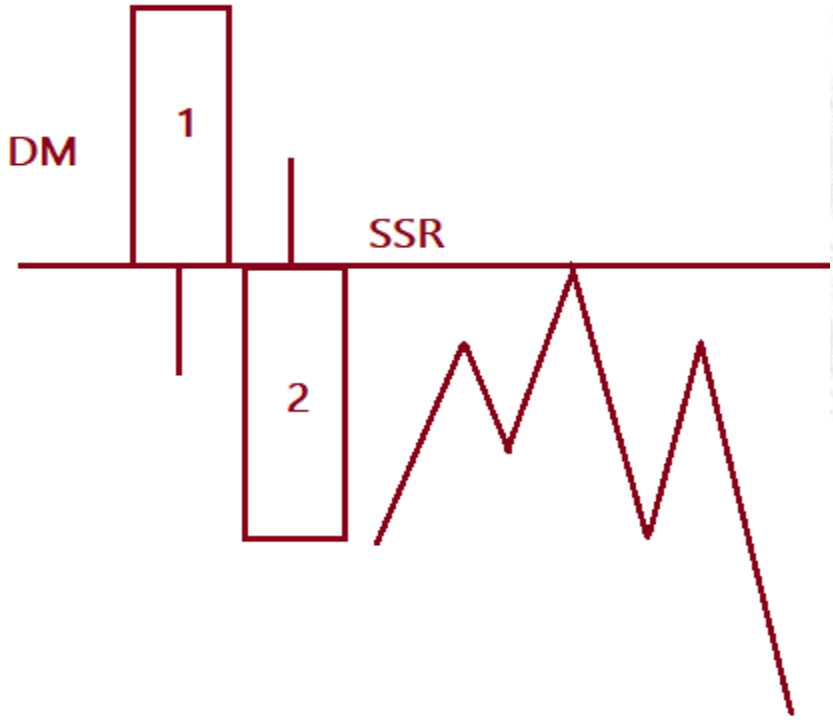
Types HTF Confirmation

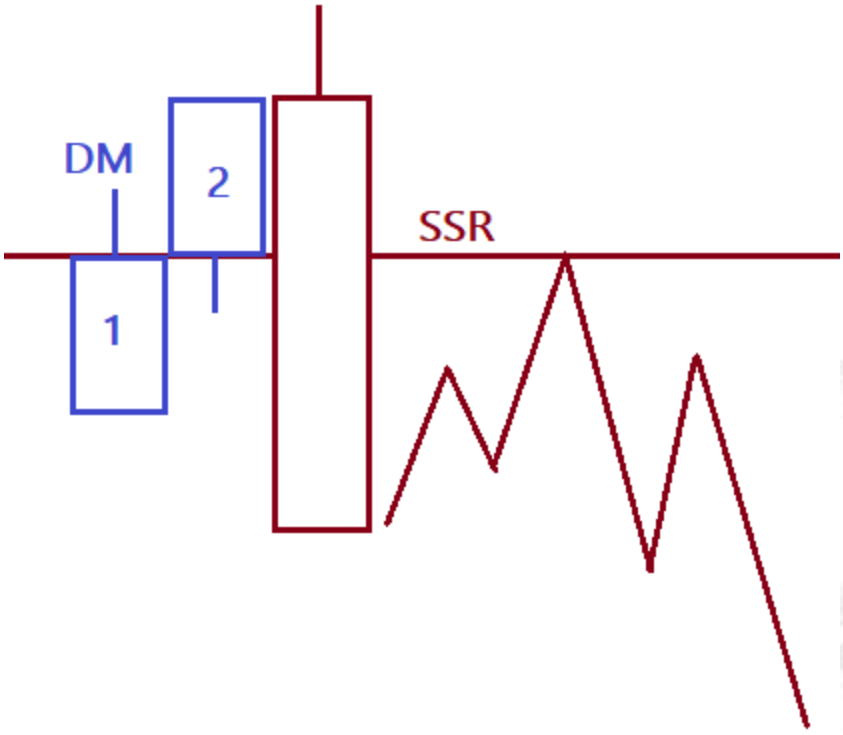
Double Maru (DM)

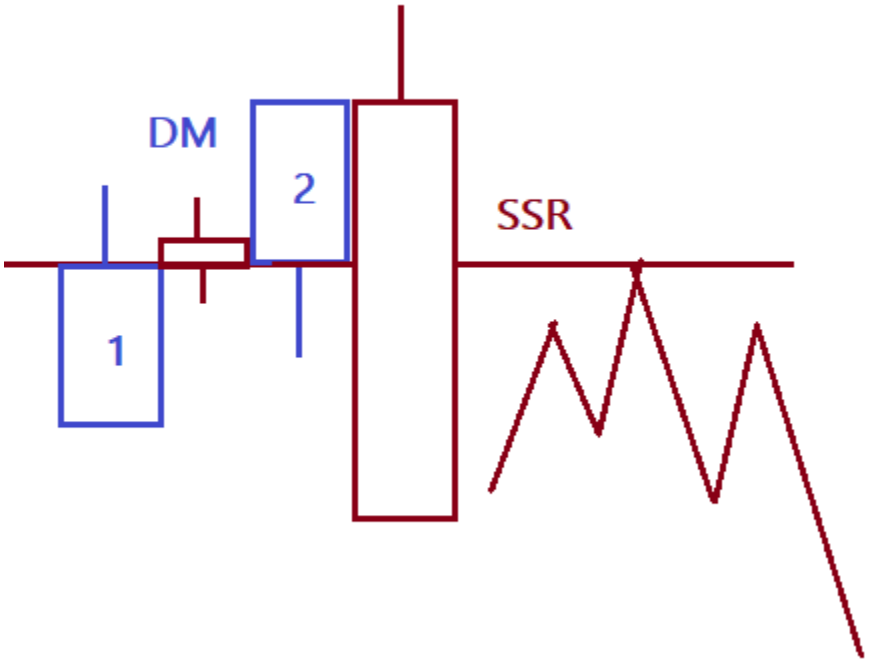
DM is an SnD concept that represents a Drop-Base-Drop (DBD) or Rally-Base-Rally (RBR) price movement.

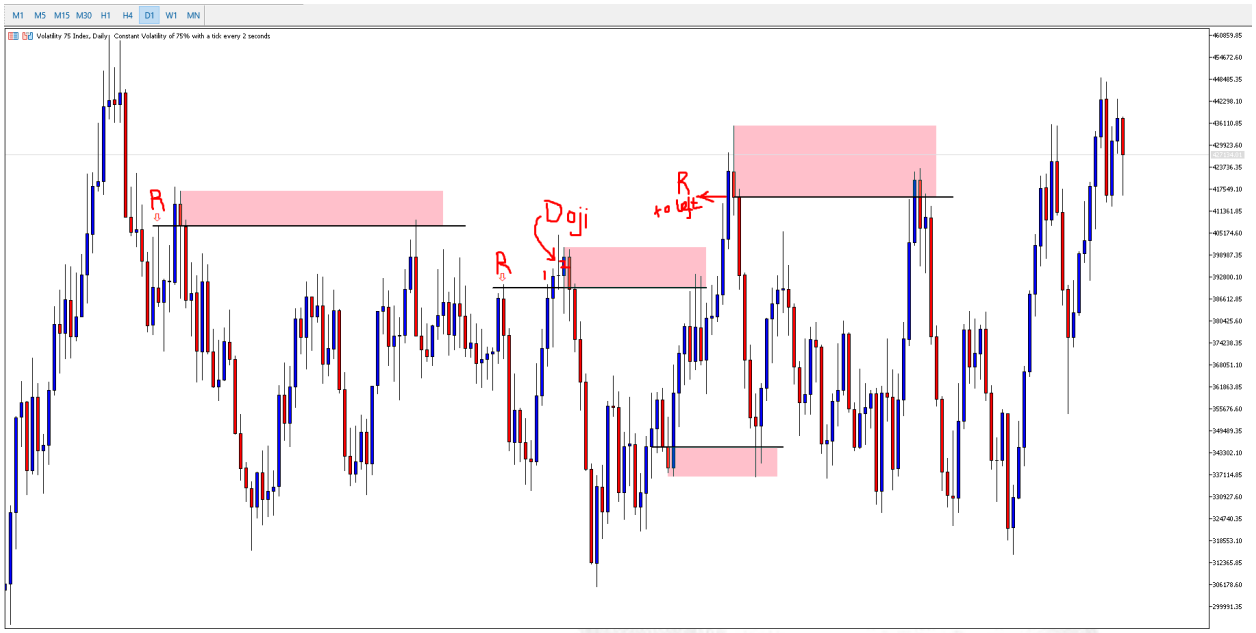
DM is very strong especially if it breaks support or resistant level.

To trade DM, make sure it is in the same line with Significant Support or Resistant Levels (SSR). If it's not in the same line, then the DM is NOT valid.



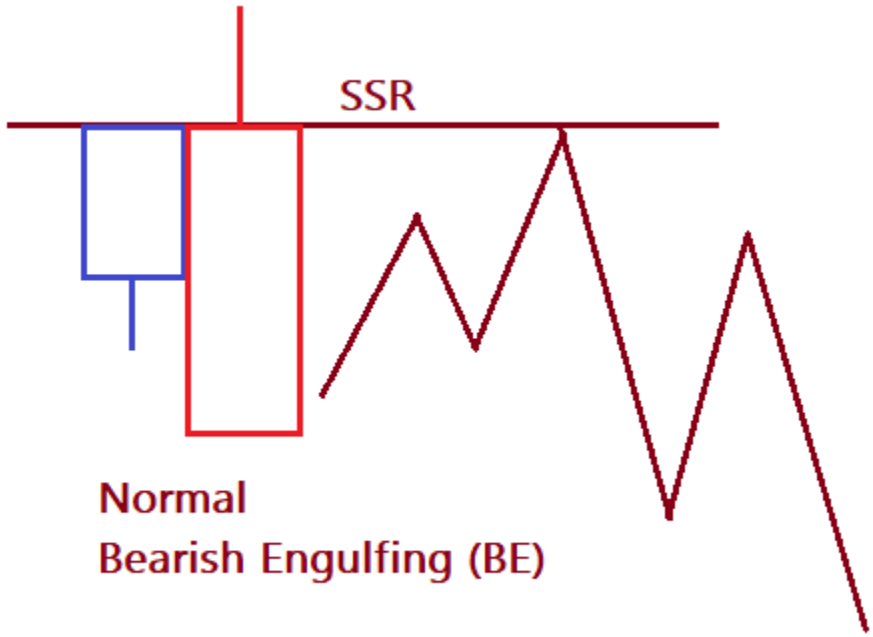

DM
2
SSR
1

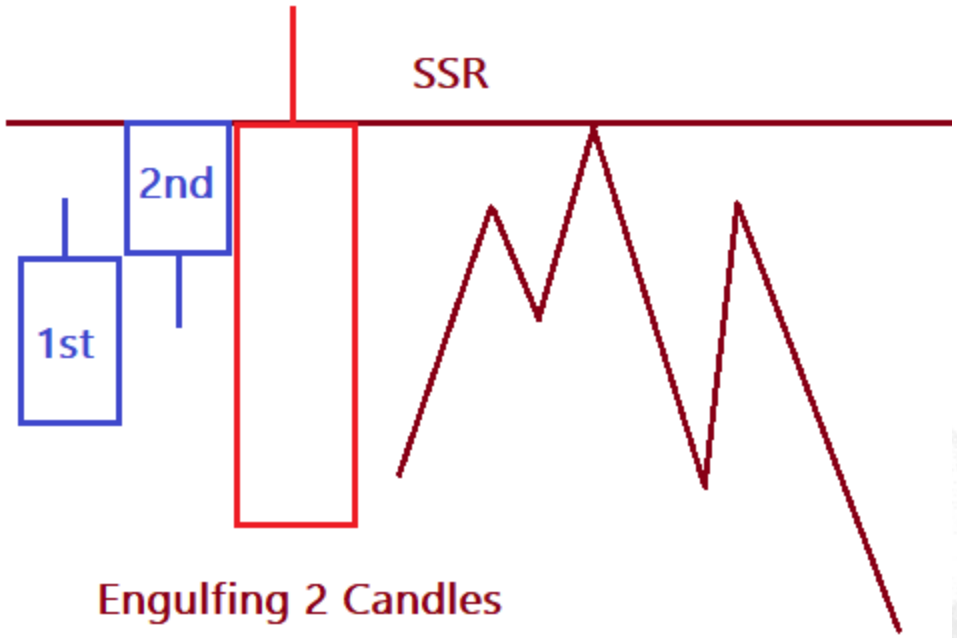

DM
2
SSR
1



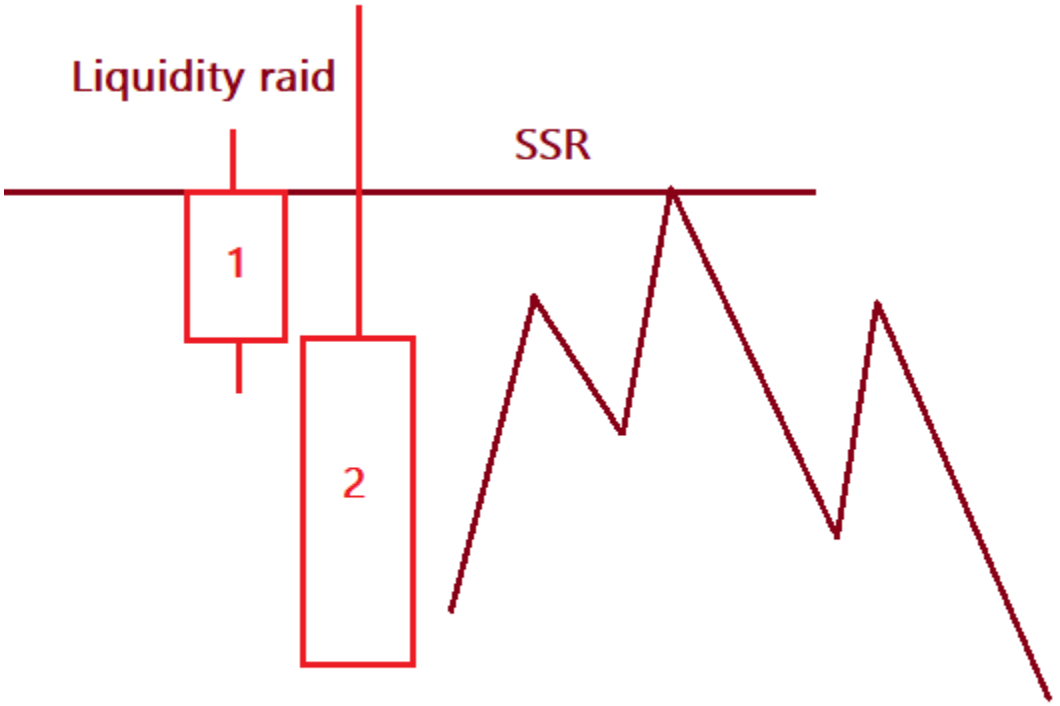
Engulfing (BE)

The bullish engulfing pattern suggests that buyers have overwhelmed sellers, potentially signaling a reversal to an uptrend while the bearish engulfing pattern suggests that sellers have overwhelmed buyers, potentially signaling a reversal to a downtrend.





Engulfing 2 Candles



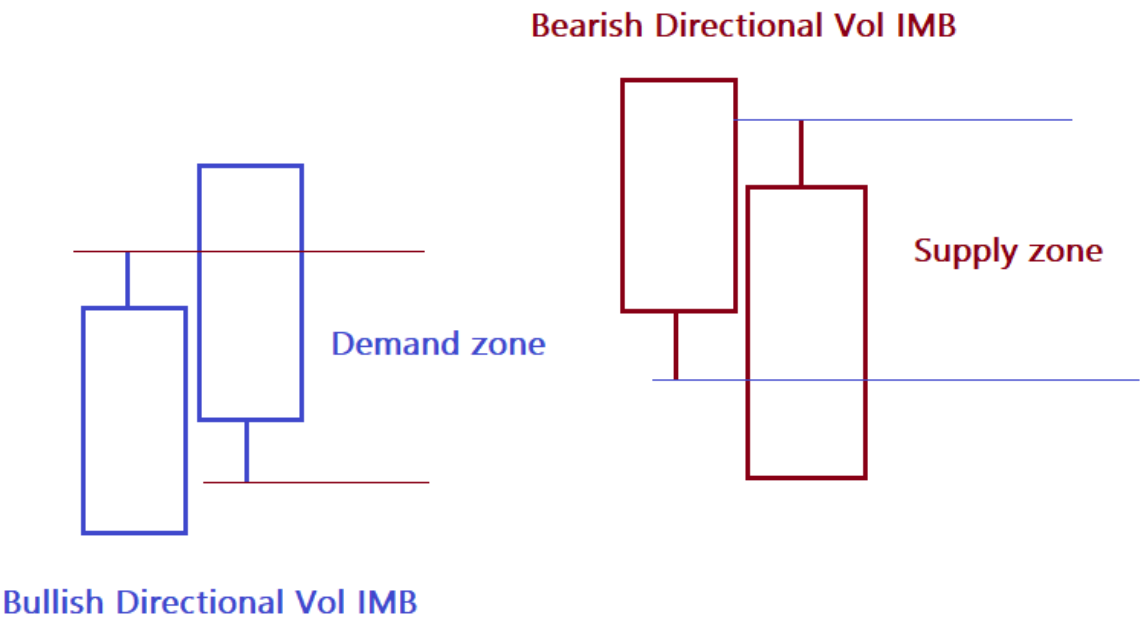
Engulfing same candle
after collecting Liquidities



Volume Imbalance (Vol IMB)

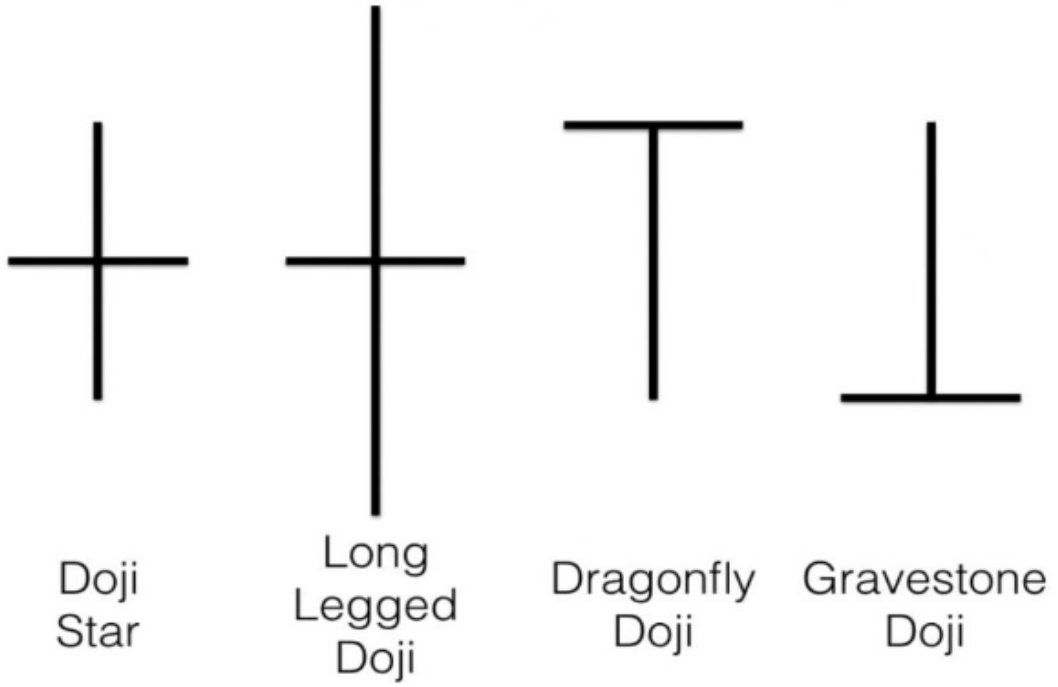
Volume imbalance is a price action situation where there is a significant disparity in trading volume between closing of previous candle and opening of the next candle.

It often happens in the Forex market and hardly in synthetics.

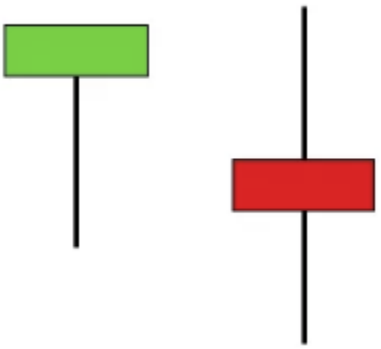


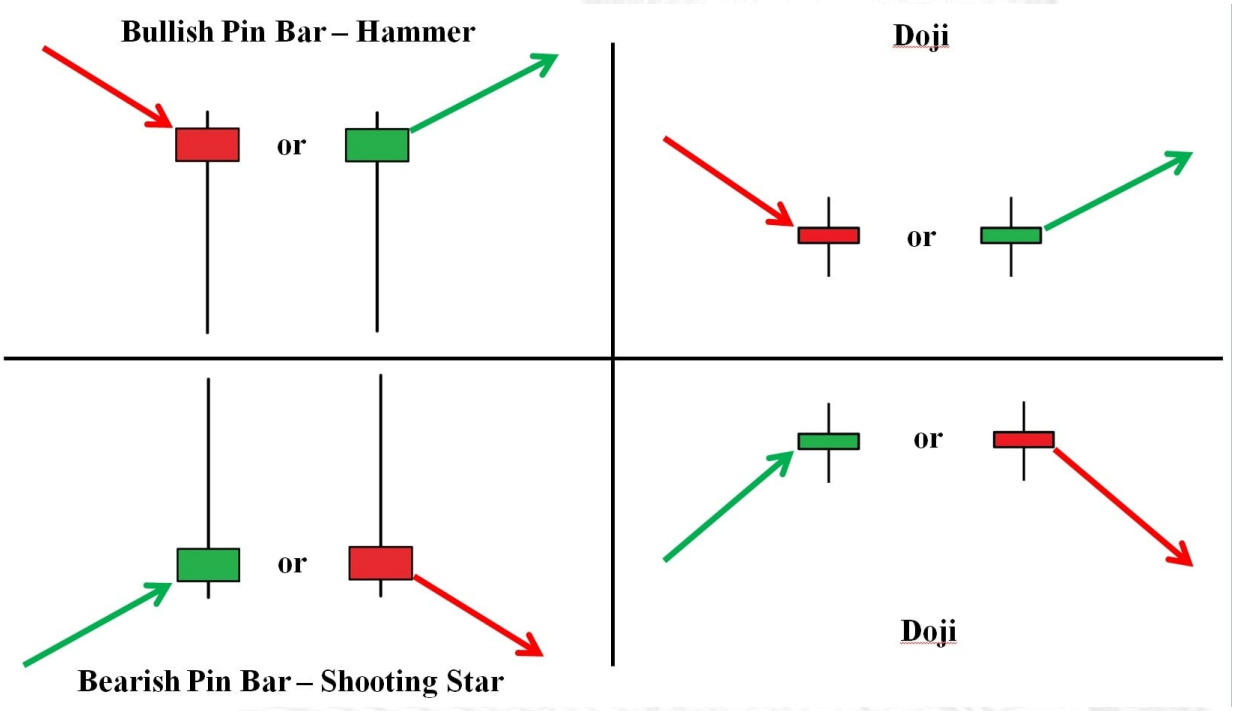
Doji/Pin Bar

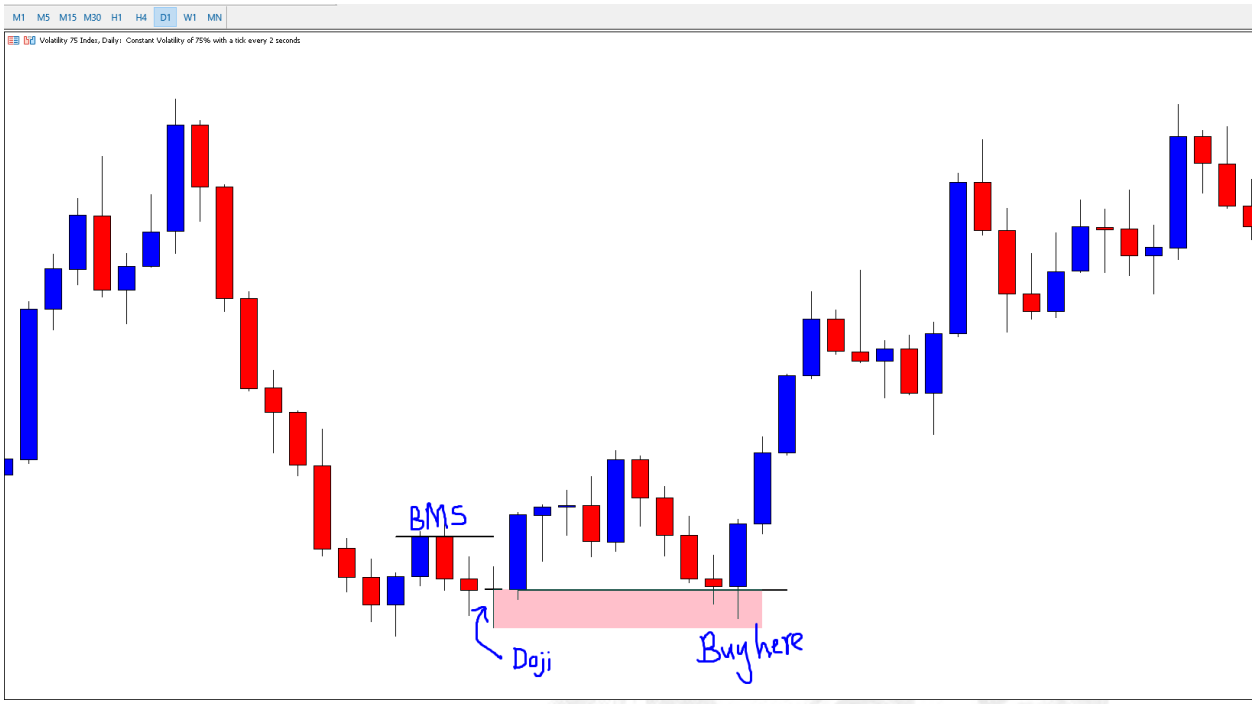
A doji is a single candlestick pattern that has almost the same opening and closing price, resulting in a very small or nonexistent body.



A pin bar is a candlestick pattern characterized by a small body and a long wick (or shadow) that protrudes from one side of the body.







Where to Locate HTF Market Directional Imbalance

The location of market directional candlesticks is an important part of our price action reading that can help you identify potential trend reversals or continuation signals.

In a bearish market structure, you can use the following steps to locate market directional candlesticks (Reverse everything for Bullish Market Structure - check our videos link in the last page of this book);

1. **Determine the Market Direction:** First, determine whether the market is bearish or bullish. This can be done by analyzing the price action and identifying lower lows and lower highs for a bearish market.
2. **Wait for a Break of Market Structure:** Wait for a break of the market structure of the previous lower low, which signals a potential trend continuation in the downward direction.
3. **Look for a New Lower Low:** Wait for the price to form a new lower low by breaking a minor structure high. This new low confirms the continuation of the bearish trend.
4. **Draw Your Trading Range:** Draw a trading range from the lower high to the newly formed lower low. This range represents the area where you will look for potential trades.

5. **Divide the Trading Range:** Divide the trading range into premium and discount zones. The premium zone is the area above the midpoint of the range, and the discount zone is the area below the midpoint.
6. **Identify Fakeout Liquidity Zones:** Identify all the fakeout liquidity zones within the trading range on the premium zone. These are areas where the price temporarily moves in the opposite direction before reversing and moving in the down direction.
7. **Trade Bullish Directional Candlesticks in the Discount Zone for counter-buys:** Look for bullish directional candlesticks located in the discount zone after the newly formed lower low. These candles may signal a potential retracement.
8. **Trade Bearish Directional Candlesticks After Fakeout for sell trend continuation:** After a fakeout, trade all the bearish directional candlesticks until the market structure breaks the lower low. These candles may signal a potential redemption downward trend after a retracement.

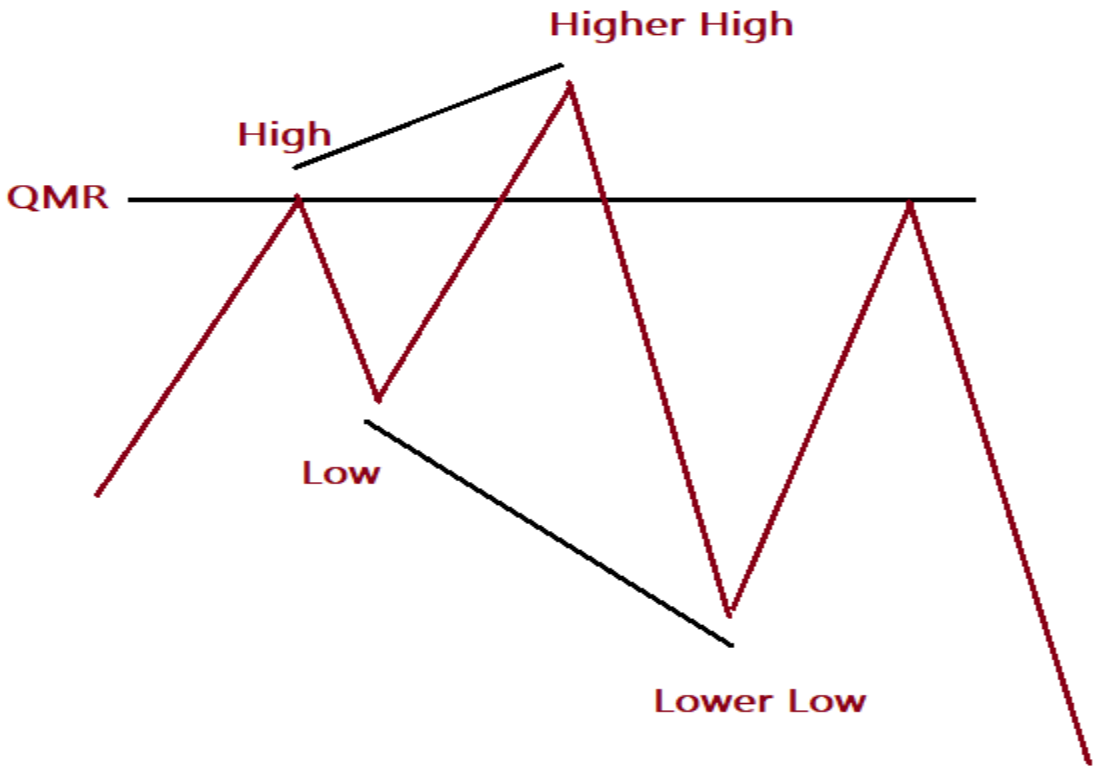
LTF Entry Confirmation Setups

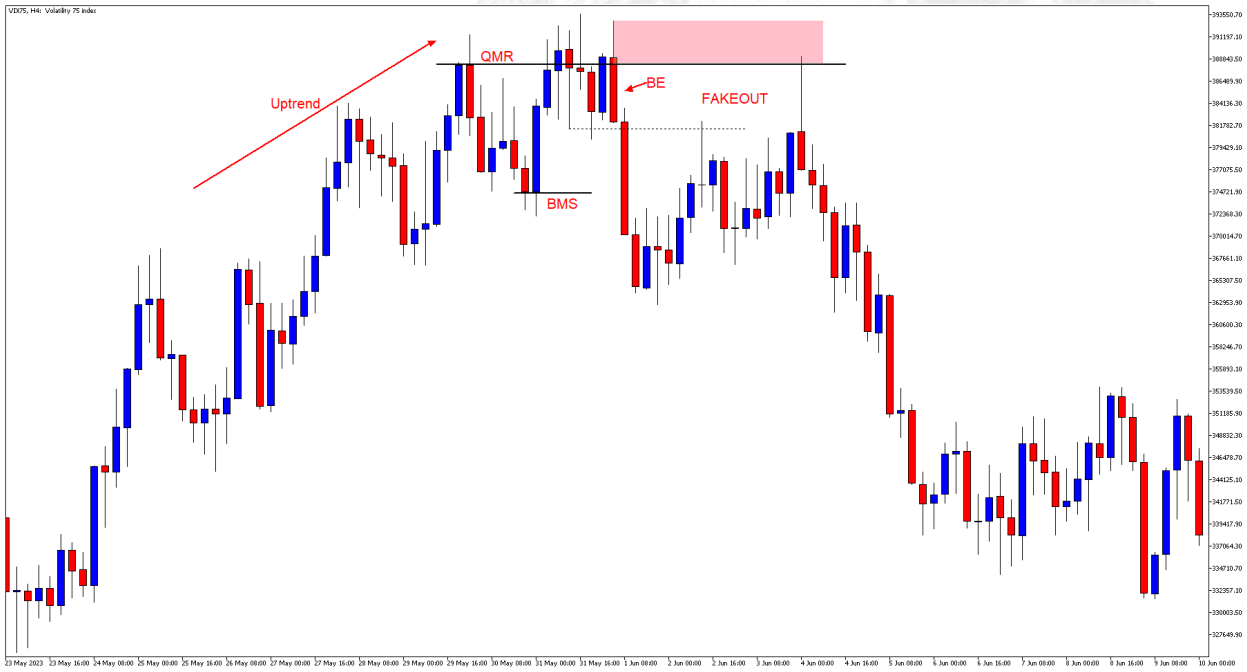
Types of LTF Entry Setups

QM Reversal - Reversal Setup

QMR Buy appears at the end of a downtrend.

QMR Sell appears at the end of an uptrend.



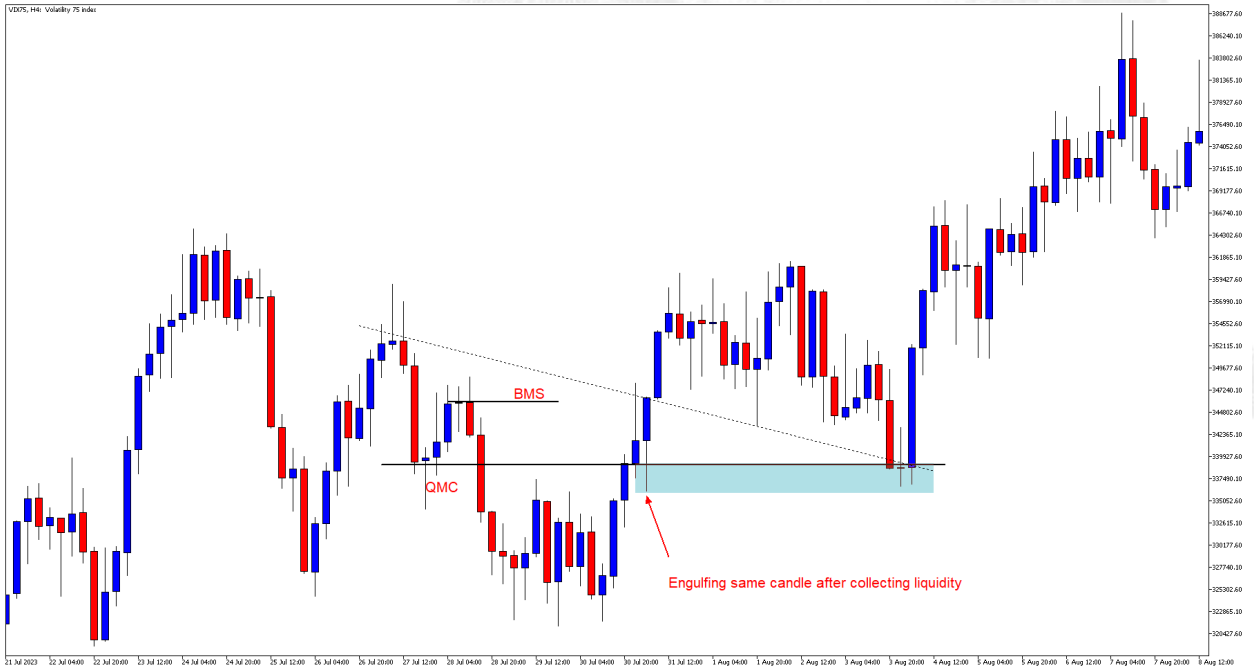


QM Continuation - Continuation Setup

QMC Buy appears at the end of a bearish pullback for a buy continuation market.

QMC Sell appears at the end of an uptrend pullback for bearish market continuation.

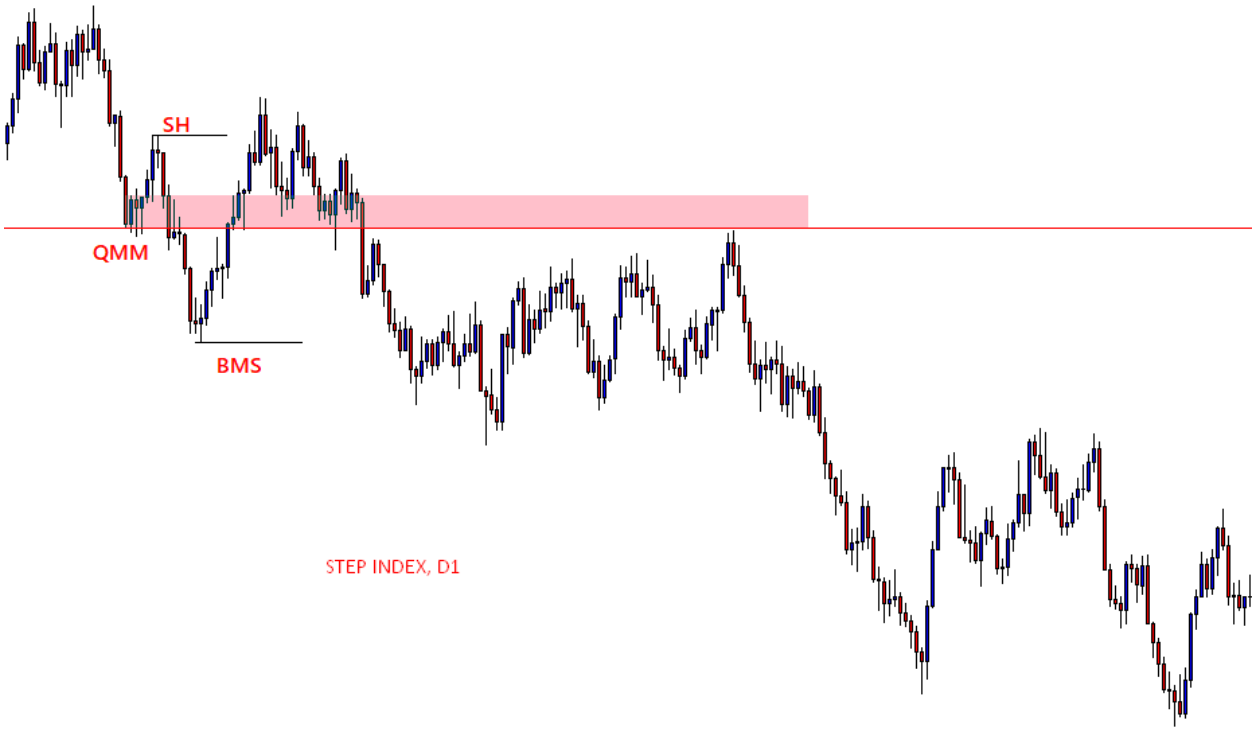

VOLATILITY 100, D1
QMC
BMS

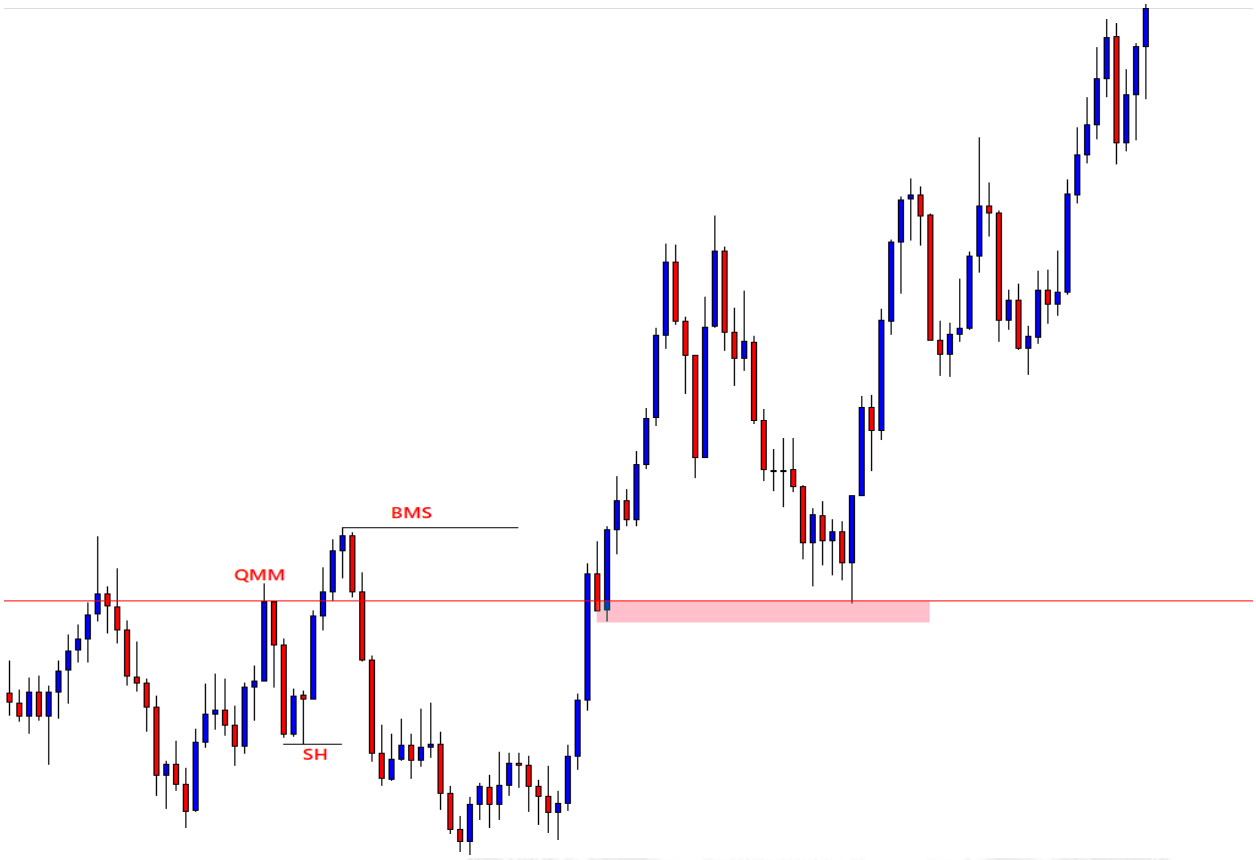

BMS
QMC
Engulfing same candle after collecting liquidity

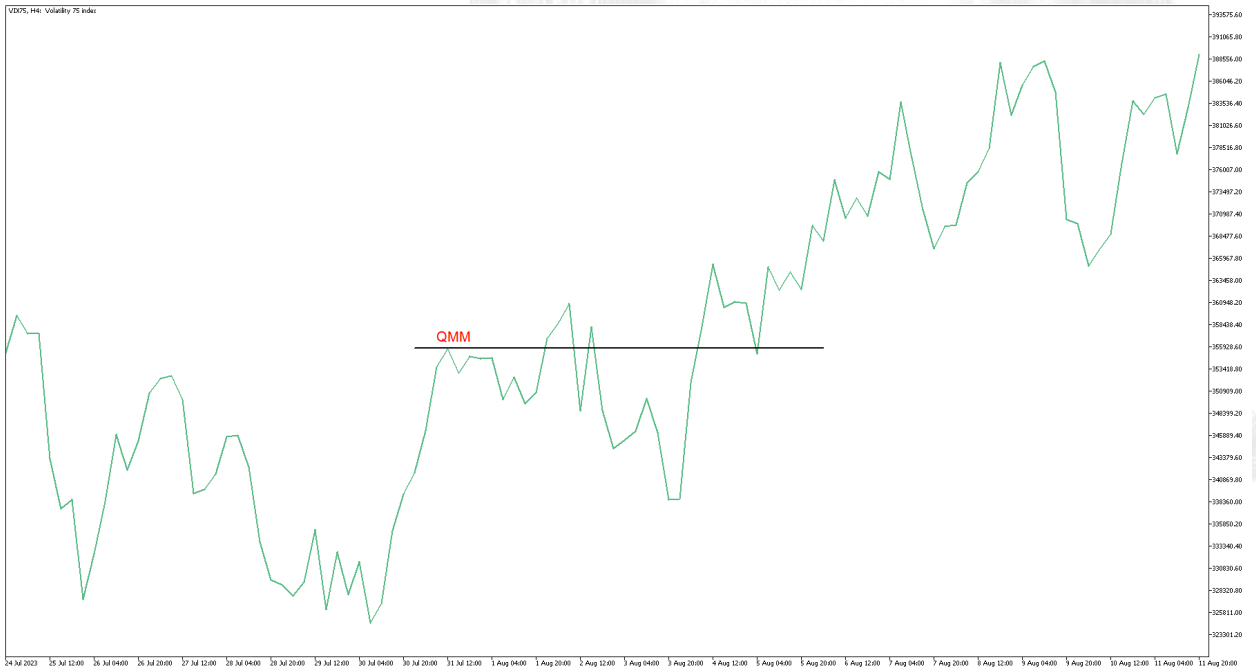
QM Manipulation - Reversal/Continuation Setup

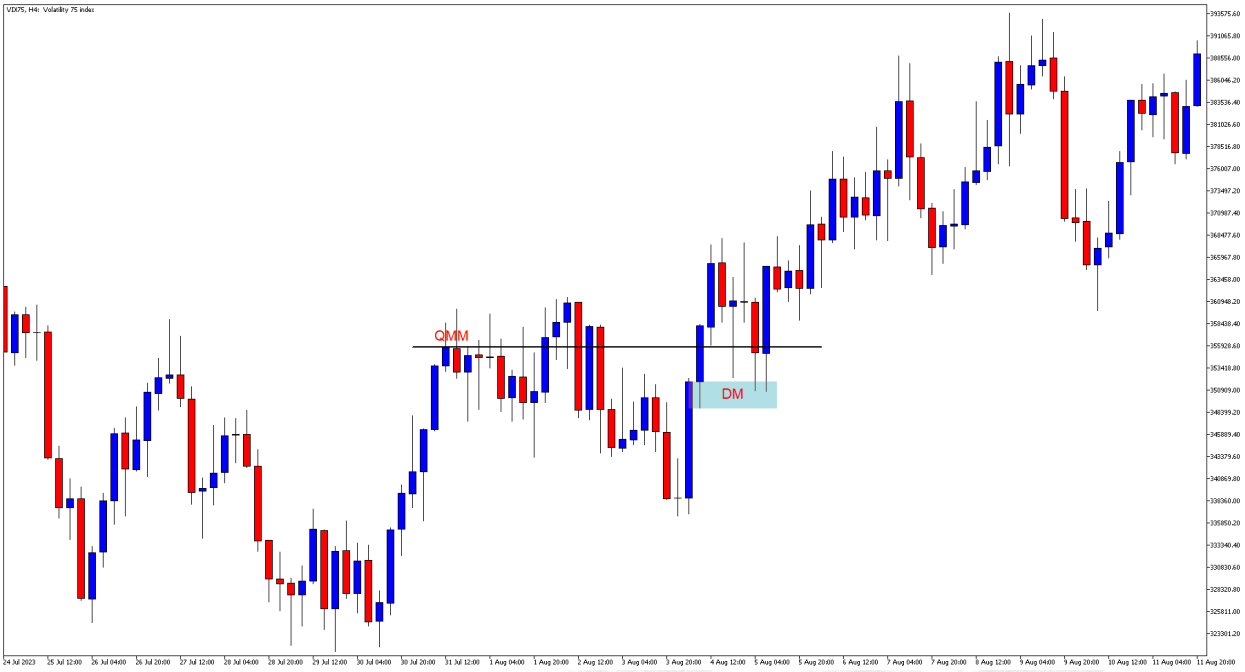
QMR Buy appears at the end of a downtrend (after price forming a fake sell setup).

QMR Sell appears at the end of an uptrend.

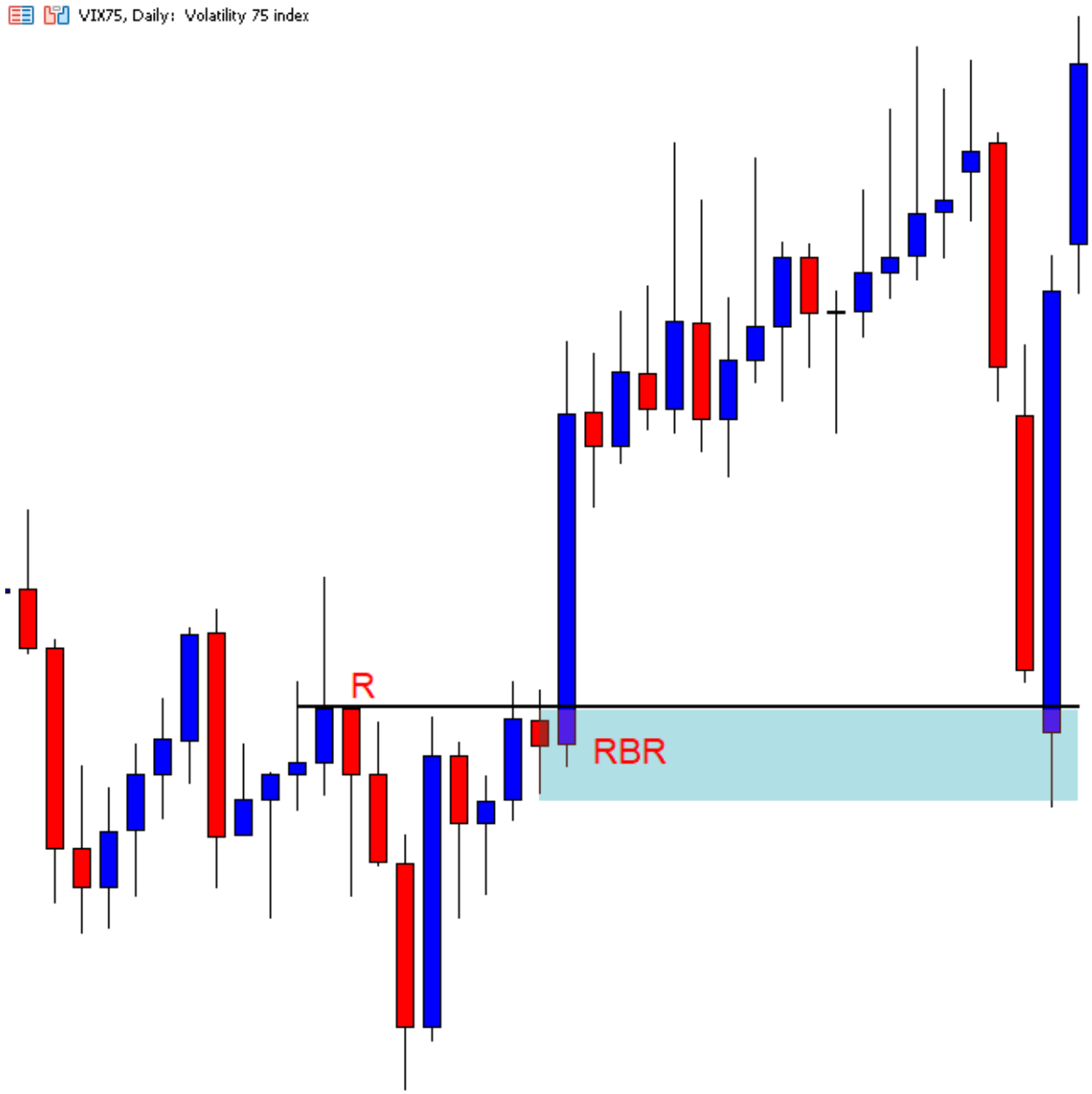



BMS
QMM
SH


VIX75, H4: Volatility 75 Index
QMM


VIX75, H4: Volatility 75 Index
QMM
DM

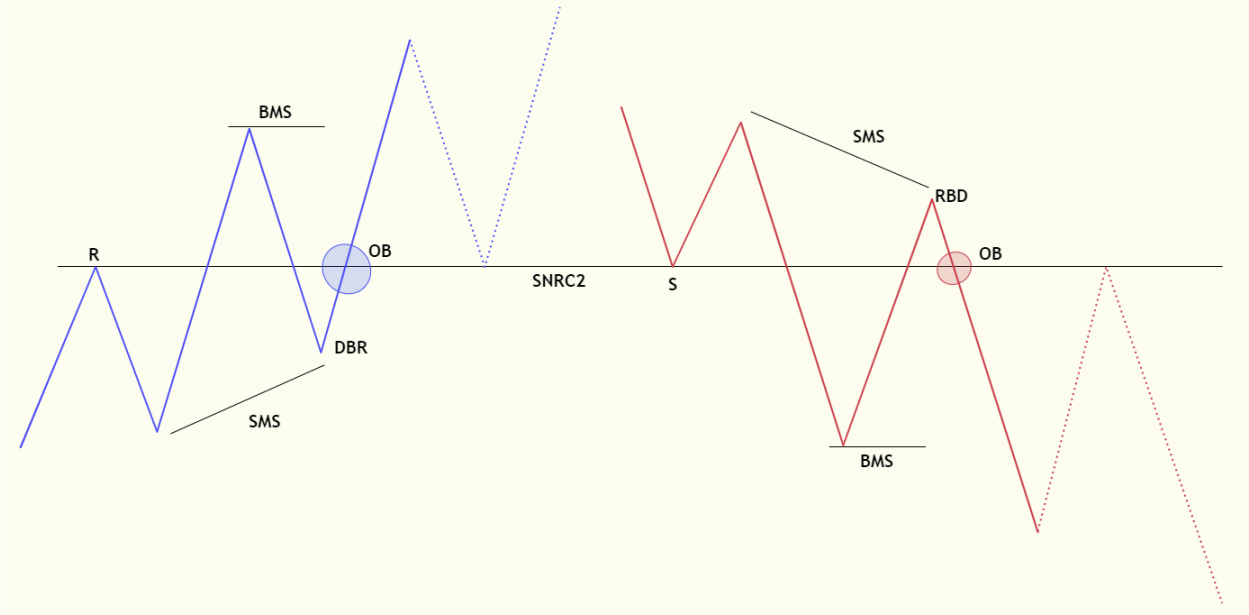
SnRC1 - Continuation Setup

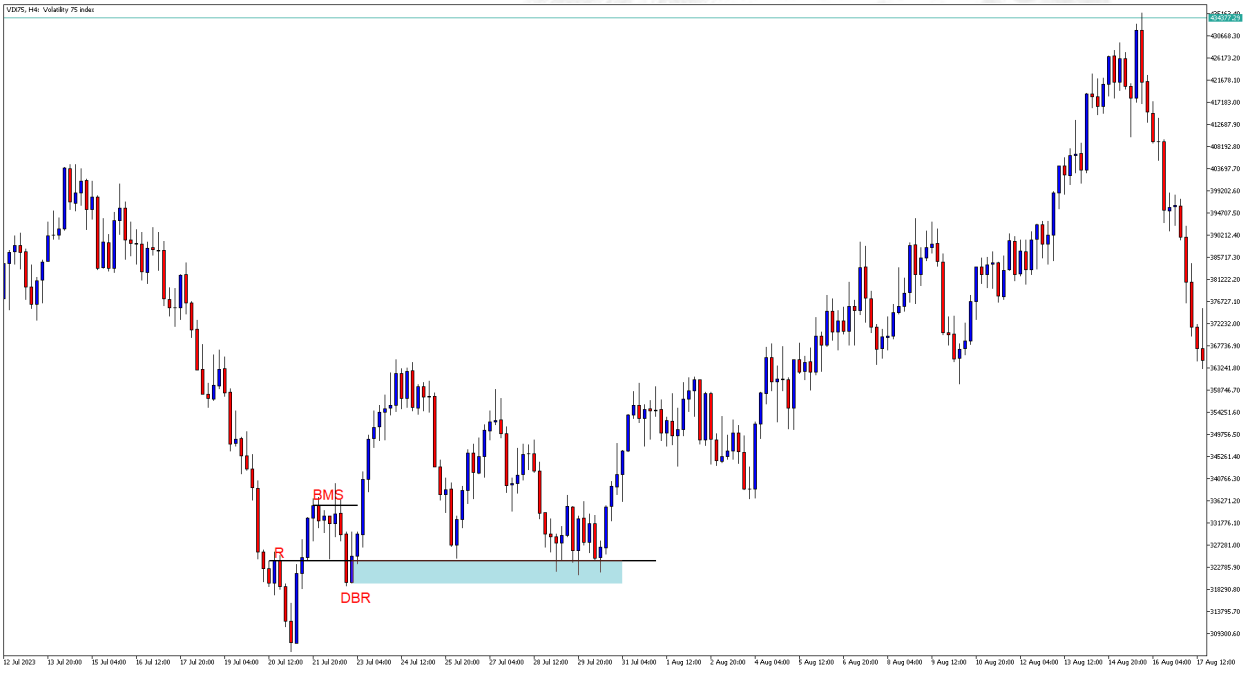


SNRC1 RULES - buy set up example

- ✔ MUST trade after Reversals
- ✔ RBR must be on the same line with Resistant
- ✔ If the RBR is at 50% Level TR, the better, though not a must.

SnRC2 - Continuation Setup





SNRC2 RULES - buy set up example

- ✔ MUST trade after Reversals
- ✔ SMS - (Shift in Market Structure) this means that the Drop-Base-Rally (DBR) MUST not violate the Market Structure Low (HL) (creating a SMS pattern).
- ✔ DBR MUST BMS the Market Structure High (HH) (Break of Market Structure).

LTF Entry Confluence

We employ two distinct types of entry confluence strategies, each offering its own unique approach to market analysis.

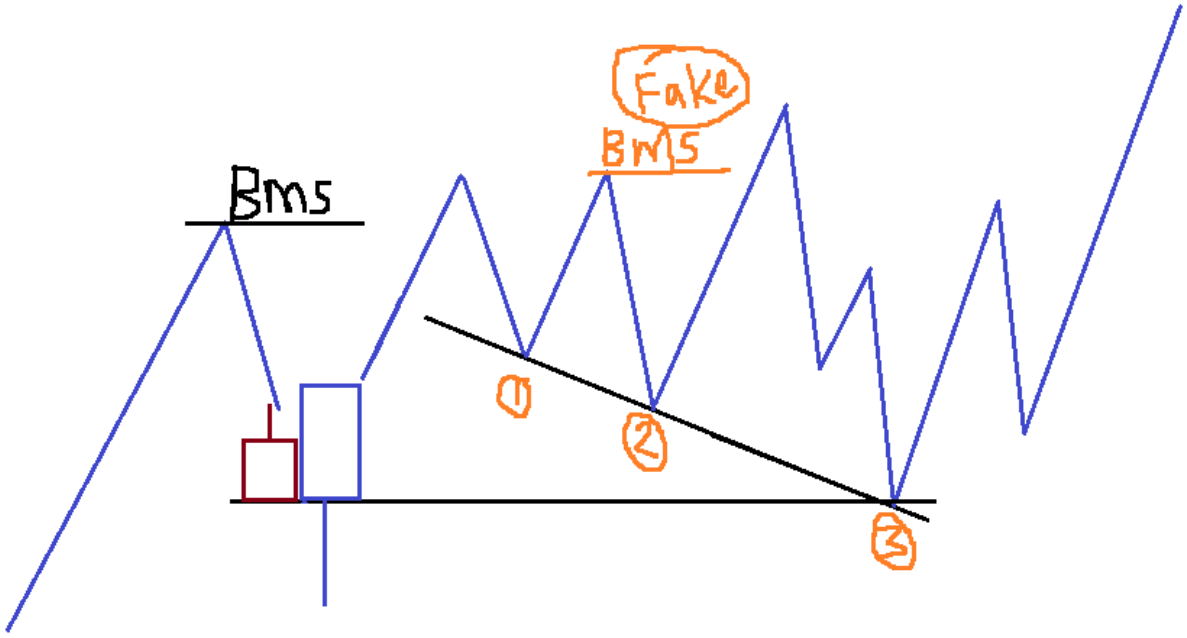
Please, note that these two entry confluence strategies offer you a comprehensive toolkit for being confident in executing your entry. So, it should be the last thing to check since confluence is not a setup!

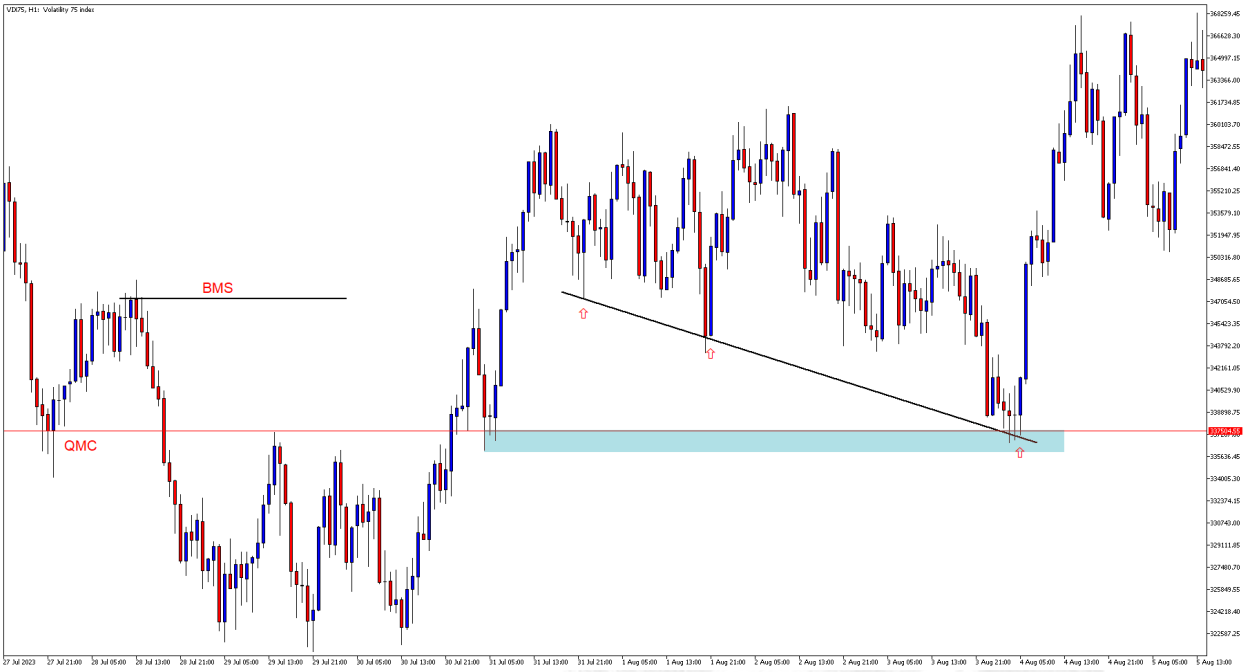
3 Drive (3D) Pattern

The 3 Drive pattern is a powerful price action pattern that helps identify potential reversals or trend continuations in the market.

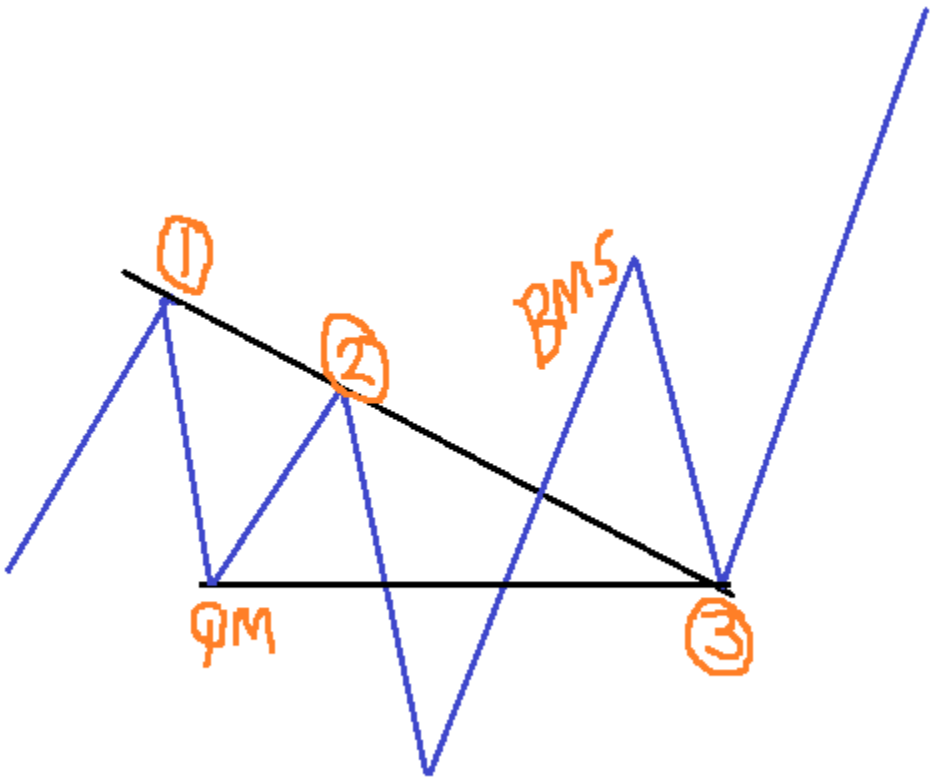
This pattern consists of three consecutive price swings, which comes in different format;

3D Type 1: 3R or 3S





3D Type 2: 2R + 1S or 2S + 1R (Fresh zone)

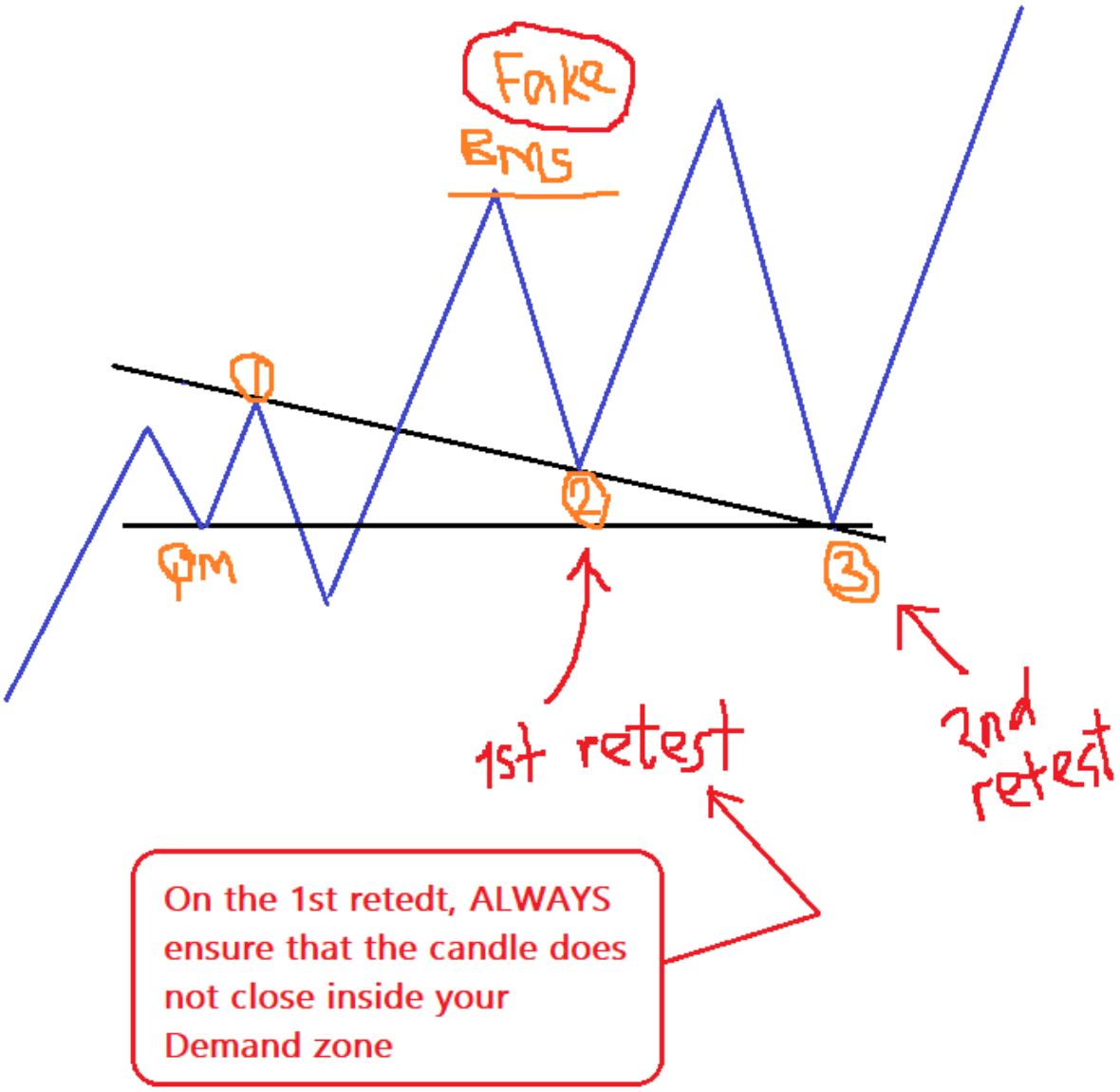




3D Type 3: 1R + 2S or 1S + 2R (Unfresh zone)

You can spot this confluence on your entry TF when price comes to retest an already tested zone (unfresh zone).

Often, on HTF, the key zone is still FRESH.


Fake
BMS
1
2
3
QM
1st retest
2nd retest
On the 1st retedt, ALWAYS ensure that the candle does not close inside your Demand zone



Awesome Oscillator (AO) Divergence

The Awesome Oscillator is a popular technical indicator that assesses the market's momentum and potential trend reversals. Awesome Oscillator Divergence is a versatile tool for spotting potential trend shifts and can be used for both entry and exit decisions.

Divergence occurs when the price movement and the AO's movement show contrasting signals.

Bullish divergence occurs when the oscillator's lows are higher while the price's lows are lower, suggesting a potential upward reversal.

Conversely, bearish divergence happens when the oscillator's highs are lower while the price's highs are higher, indicating a possible downward reversal.



SOPs

- AO is a lagging indicator, so there is a high chance you will see it after it happens.
- Once you spot AO, wait for price to BMS (CHoCH), then enter on mitigation (pullback).

HTF Confirmation vs LTF Setups: Multi-time Analysis

In trading, there are two types of setups that you can use to make decisions: high-timeframe (HTF) confirmation and low-timeframe (LTF) ENTRY setups.

High-timeframe confirmation involves analyzing charts on a longer time frame, such as H4, the daily or weekly charts, to determine the overall trend and market direction.

In HTF confirmation, you typically need to look for keyzones or patterns that confirm the trend or signal a potential reversal.

Low-time frame setups, on the other hand, involve analyzing charts on a shorter time frame, such as the 15-minute or 1-hour charts, in line with HTF confirmation.

In LTF setups, you need to look for specific price action patterns, such as Quasimodo reversal or support and resistance; nested in HTF confirmation, to enter or exit a trade.

Multi-analysis involves using both HTF confirmation and LTF setups to make trading decisions.

This approach combines the benefits of both types of analysis.

So, when you open your charts, you start by analyzing the higher time frames to determine the overall market direction and identify potential areas of liquidity, imbalances, support and resistance.

Then move to the lower time frames to identify specific entry setup, based on HTF.

The key to successful multi-analysis is to ensure that the signals from both HTF confirmation and LTF setups are in agreement.

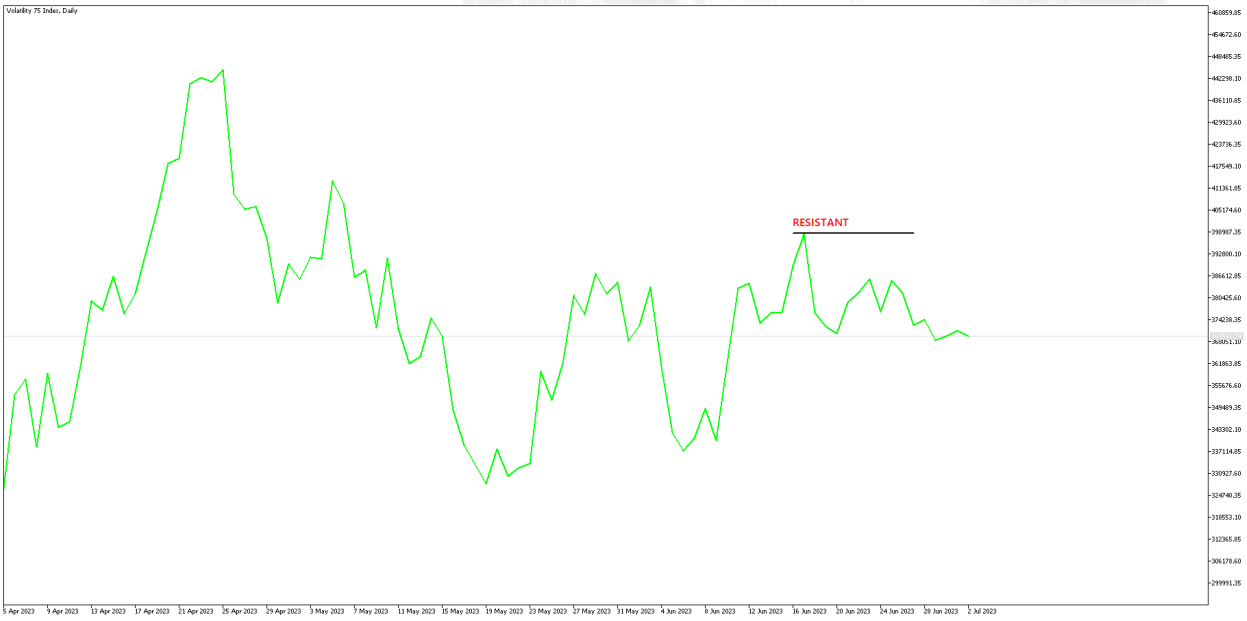
Top Down Analysis SOPs

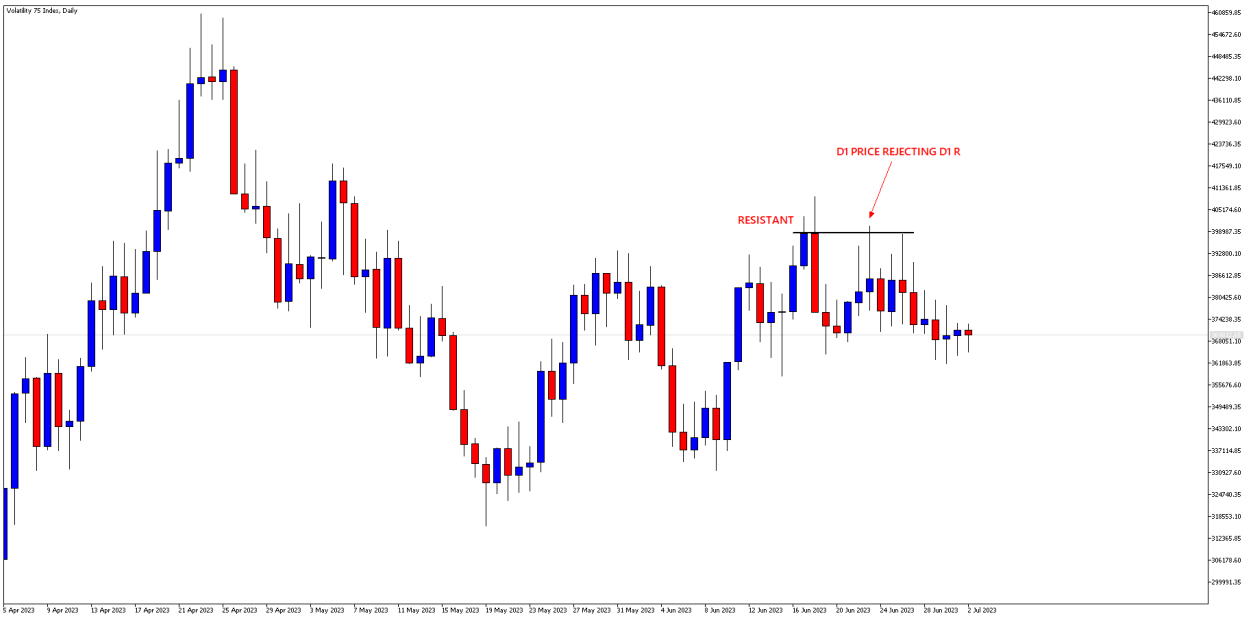
My top down analysis involves analyzing the market from HTF to LTF with objectives of finding **KEY ZONE, MARKET DIRECTION & ENTRY SETUP.**

Example of a sell entry opportunity on a D1-H4-H1 Matrix

Step 1: Finding HTF Key Zone

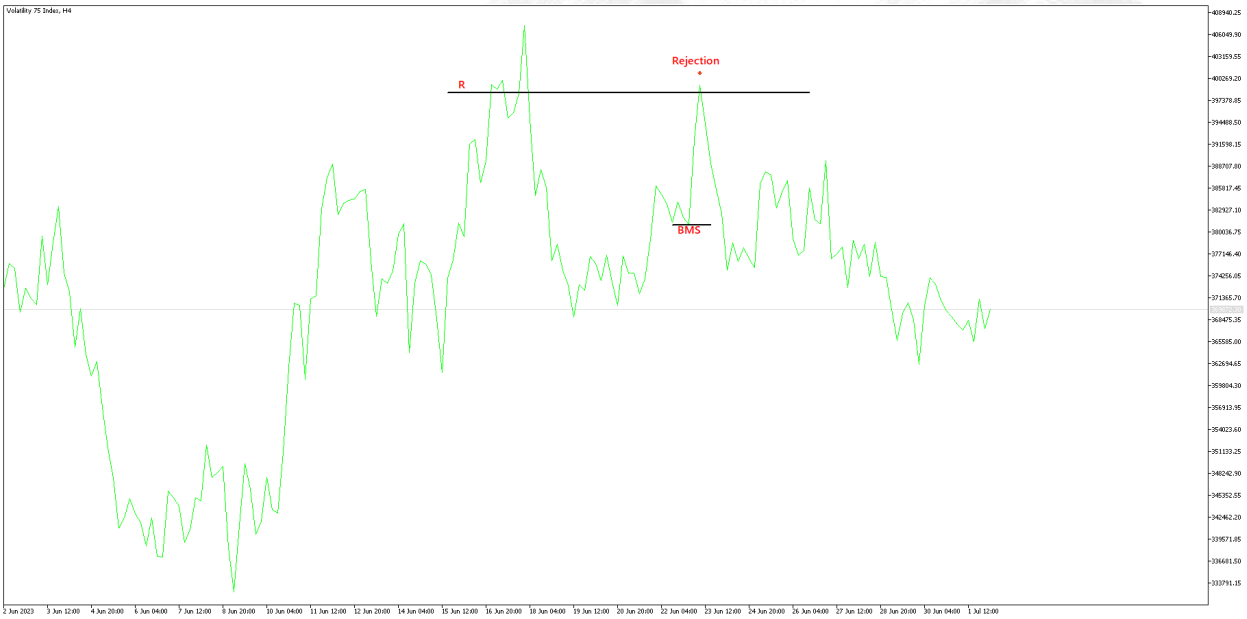
Here, you want to see price rejecting your HTF Key zone, i.e, Daily price rejecting Daily Resistant

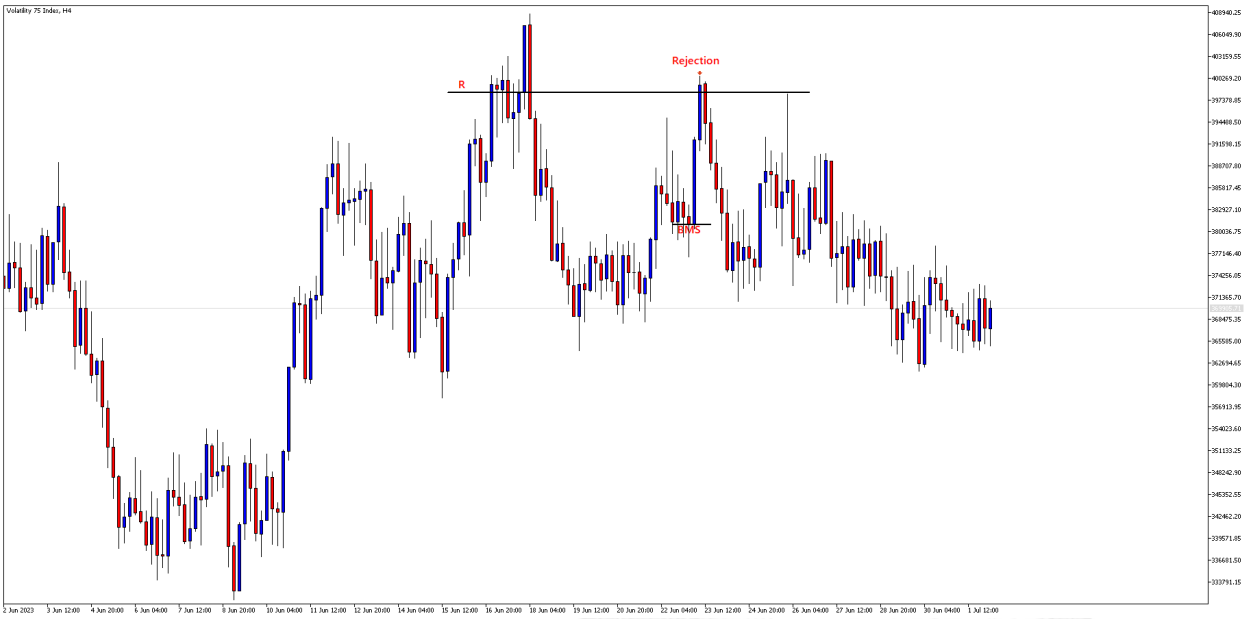




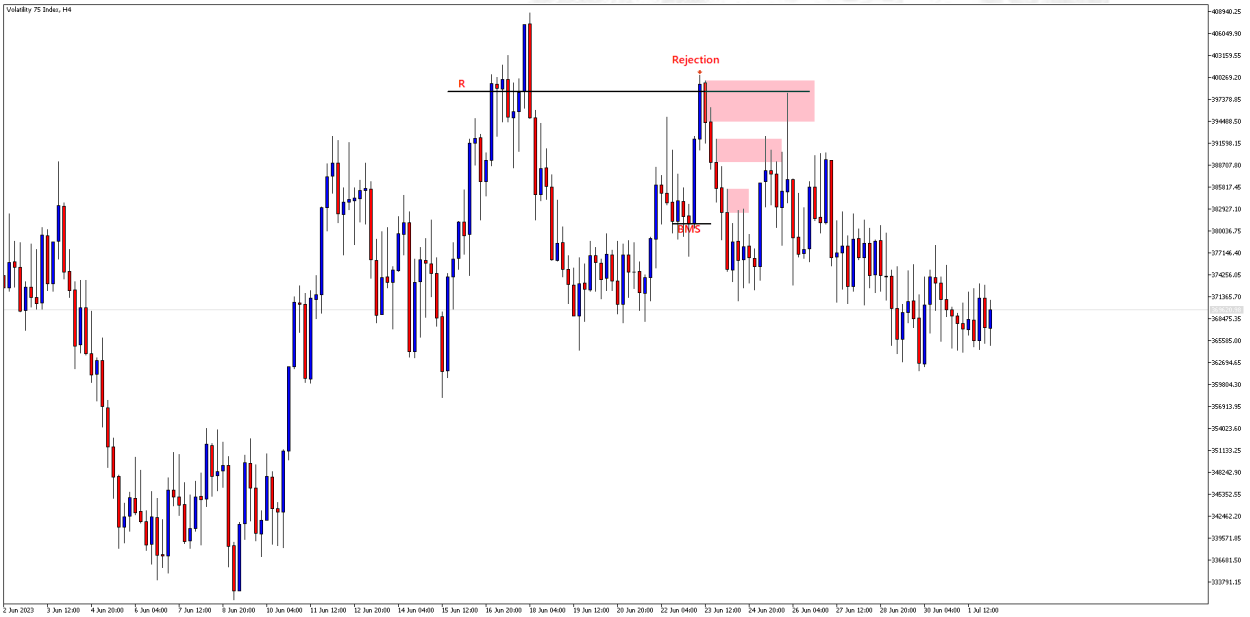
Step 2: Bearish BMS of MS Low on 1 TF Below

Move to H4 to determine market direction. Break of Market Structure Low gives an indicator that the market is willing to go lower.





After confirming BMS, mark all the Bearish Market Directional Imbalance on H4.



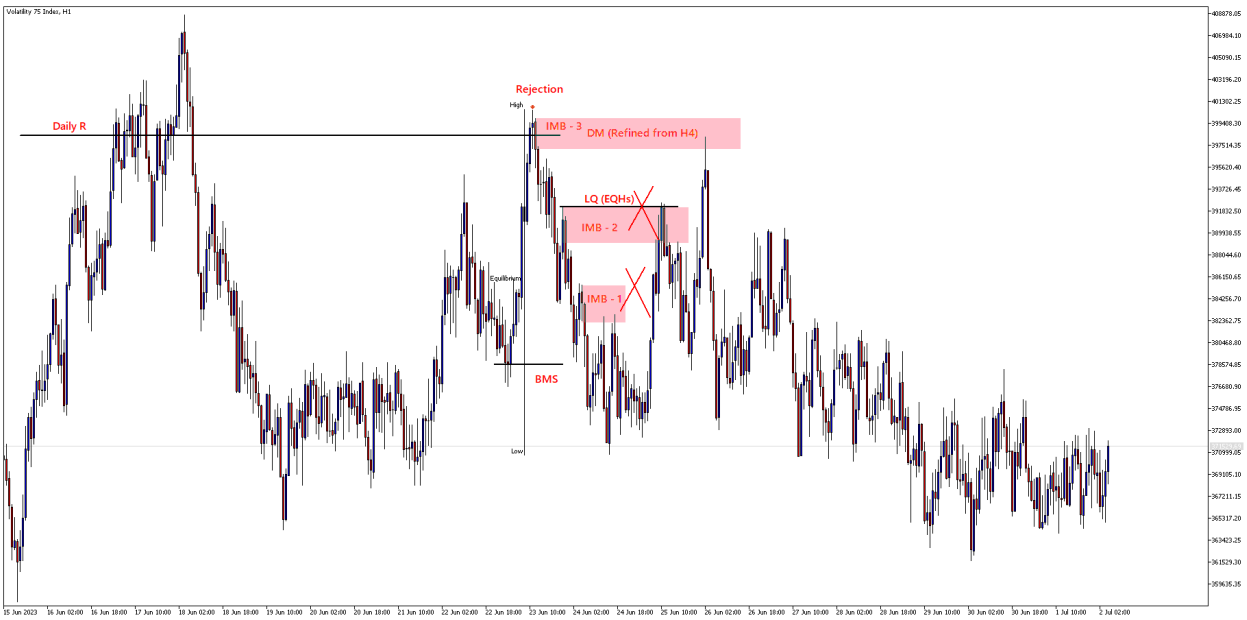
Step 2: Mark Trading Range on 1 TF Below and Map for Liquidities(Fakeouts).

Trading range will help you to map liquidity at the right place (Premium zone).

Mapping Liquidities helps you to validate your Market Directional imbalances.

Then mark the entry setup.

(attend our second weekend webinar every month to learn more)



❌ **Imbalance 1 is disqualified** because it's in the Discount zone. Also, a new Lower Low has formed, therefore, it is most likely not to work.

❌ **Imbalance 2 is in Premium zone but still disqualified** because it has EQHs for possible Fakeout

Imbalance 3 is validated because

✔ It's in the premium zone

✔ It's above Liquidities (Fakeout will happen)

✔ It's nested inside H4 Imbalance

Your primary objective, as a smart trader, is to wait for your best setups to show up. Money is made by stalking the big boys, not being active and forcing trades every time you see a sexy move.

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Top Down Analysis Matrix

BIGGER PICTURE TIME FRAME	CONFIRMATION TIME FRAME	ENTRY TIME FRAME
MN	WK	D1
WK	D1	H4
D1	H4	H1
H4	H1	M30/M15
H1	M30/M15	M5/M1

What to Expect on Every Matrix

BIGGER PICTURE TIME FRAME	CONFIRMATION TIME FRAME	ENTRY TIME FRAME
Key zones such as • SnR • SnD • Old High/Low	• BMS (Mark newly formed swing) • Directional Imbalances such as ○ DM ○ BE ○ Volume Imbalance ○ Doji/Pin Bar	• Trading Range (Premium & Discount) • Mapping Liquidities (For possible Fakeouts) • Mark Entry setup such as ○ QMR ○ QMM ○ QMC ○ SNRC1 ○ SNRC2 • Long Term TP at newly formed swing market at your Confirmation TF

Reversal vs Continuation Trading

Trading SOPs

SOPs, or Standard Operating Procedures, are a set of step-by-step instructions that guide individuals on how to carry out a particular task or process.

When it comes to trading, having a set of SOPs can help traders to develop a consistent and effective approach to their trades.

Here are some steps to create trading SOPs:

- **Market Structure**: Identify market structure and understand if the market is bullish, bearish, or consolidating.
- **Directional Imbalance:** Identify market directional imbalance at the right location in line with your market structure.
- **Entry Setup:** Spot entry setups in LTF nested inside your market directional imbalance.

Trading Plan

A trading plan outlines a trader's strategy for entering, managing, and exiting trades.

It must includes;

- ✔ **Rules for identifying trade setups.**
- ✔ **Risk management.**
- ✔ **Overall trading goals.**

Here are some key components of a trading plan;

- **Trading objectives:** Define trading objectives, including your desired rate of return, your risk tolerance, and the amount of capital you are willing to commit to trading.
- **Trading strategy:** Define your strategy for identifying trade setups. This could include technical analysis and Price Action.
- **Risk management:** Define your risk management strategy, including how you will manage your stop-loss orders, how you will handle losing trades, and how you will manage your overall risk exposure.
- **Trading rules:** Define your rules for entering and exiting trades. This could include criteria for identifying market direction, entry and exit points, as well as guidelines for managing open positions.

- **Trading journal:** Keep a record of all your trades, including entry and exit points, the reason for entering the trade, the outcome, and any lessons learned.
- **Regular review:** Regularly review your trading plan to ensure that it is still relevant and effective. Make adjustments as necessary based on changes in market conditions or your own trading performance.

My Trading Journal

TRADE ENTRY		STRATEGY RULES			TARGET		
Asset	Buy/Sell	Rev/Cont.	HTF Confirmation	LTF Entry	SL	TP	Outcome
VIX75	*Buy*	*Cont.*	*H4 DM*	*QMC*	*$20*	*$140*	*W*

Notes:

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Lot size increment challenge

The lot size increment challenge exercise can help you improve your risk management skills.

The challenge involves increasing the lot size of trades by a set amount after a certain number of trades.

Here's an example of how you can structure the challenge;:

1. Start with the list lot size for your trades. Let's say you start with a lot size of 0.1.
2. After 10 trades, analyze your win rate.
3. If your win rate is above 50%, increase the lot size by a set amount. Let's say you increase the lot size by 0.1, so your next trade would be at 0.2 lots.
4. Continue this pattern of increasing the lot size until the maximum level.
5. If you have a losing trade, return to the initial lot size and start the cycle again.

The lot size increment challenge can be a useful way to gradually increase your risk as you build up a solid trading strategy. **(ONLY MOVE TO NEXT LOT SIZE IF YOU ACHIEVE MORE THAN 50% WIN RATE).**

Lot	1	2	3	4	5	6	7	8	9	10	Status
0.1	*W*	*W*	*W*	*L*	*W*	*L*	*L*	*W*	*W*	*W*	*70% (Move to 0.2)*
0.2	*L*	*L*	*L*	*L*	*L*	*W*	*L*	*W*	*W*	*W*	*40% (Repeat 0.2)*
0.2	*W*	*W*	*W*	*L*	*W*	*L*	*W*	*L*	*W*	*L*	*60% (Move to 0.3)*
0.3											
0.4											
0.5											
0.6											
0.7											
0.8											
0.9											
1.0											

Risk Management

Risk management is a crucial aspect of trading, and it's essential for preserving your capital and ensuring long-term success.

Here are some risk management tips you can consider when trading:

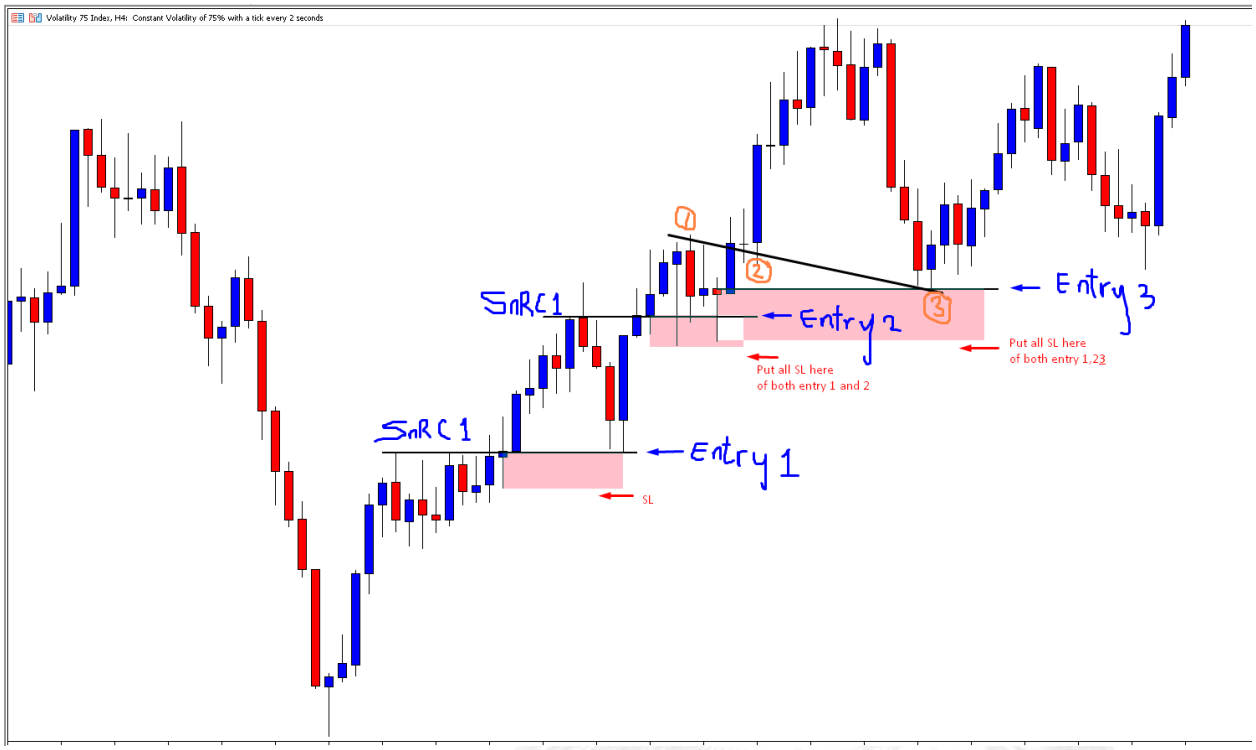
Use Stop-Loss Orders: Always set stop-loss orders for your trades. Make sure to place your stop-loss orders at a level that takes into account market volatility and your trading strategy.



Risk-Reward Ratio: Determine your risk-reward ratio before entering a trade. This ratio should ensure that the potential reward is greater than the risk you're taking. For example, if you're risking $100 on a trade, make sure the potential profit is 3 times higher (ONLY take setups with more than 1:3 RR). Let your setup guide you what to risk and your target



Position Sizing & Layering: Decide how much of your capital you're willing to risk on a single trade. A common rule of thumb is to risk no more than 1-2% of your trading capital on a single trade. This helps protect your account from large losses.



Use Leverage Wisely: While leverage can amplify your profits, it can also magnify your losses. Use leverage cautiously and only when you fully understand its implications. Many professional traders advise using low leverage or no leverage at all.

Avoid Overtrading: Overtrading, or making too many trades in a short period, can lead to exhaustion and poor decision-making. Stick to a well-defined trading plan and only take trades that meet your criteria.

Journal your Trades: Maintain a trading journal to record your trades, including entry and exit points, stop-loss levels, and your reasoning for each trade. This helps you learn from your successes and mistakes.

TRADE ENTRY		STRATEGY RULES					TARGET		
Asset	Buy/Sell	Rev/Cont.	HTF Confirmation		LTF Entry		SL	TP	Outcome
			TF	Confirmation	TF	Setup			

Emotional Discipline: Emotions can lead to impulsive and irrational decisions. Stick to your trading plan, and don't let fear or greed dictate your actions.

Always Pay the Trader: Never Risk All Your Profits from the First Trade in the Second Trade! One common mistake that traders make is to use all their profits from a successful trade as the capital for the next trade, effectively putting their hard-earned gains on the line. This approach can lead to the rapid erosion of your trading capital if

the second trade results in a loss. To avoid this, it's crucial to separate your trading capital from your profits. Set aside a portion of your profits and only use a portion of them for your next trade. By doing so, you protect the profits you've already earned and ensure that your capital remains intact, even if your subsequent trades do not yield the desired results. This practice maintains a healthy balance between capital preservation and capital growth.

Continuous Learning: Forex markets are complex and constantly evolving. Invest time in learning and improving your trading skills. Here is the best FOREX Learning channel: https://t.me/KenneDynespot

Smart Market Psychology

Mastering the psychology of trading is essential for success in any market.

Here are some pro tips for managing the psychological aspects of synthetic indices trading;

- ★ Maintain emotional discipline by adhering to your trading plan and strategy.
- ★ Implement robust risk management practices to reduce anxiety and stress.
- ★ Develop a comprehensive trading plan and stick to it religiously.
- ★ Exercise patience, avoid overtrading, and wait for suitable setups.
- ★ Commit to continuous learning and expanding your knowledge of the forex market.
- ★ Keep a trading journal to record and review your trades for improvement.
- ★ Accept losses as opportunities for learning and avoid revenge trading.
- ★ Be cautious with leverage to prevent amplified losses and emotional strain.
- ★ Cultivate mental resilience to handle the ups and downs of trading.
- ★ Manage realistic expectations and avoid overestimating short-term gains.
- ★ Use technology as a trading aid, not a replacement for your own analysis.
- ★ Prioritize self-care with a healthy lifestyle, exercise, and proper rest.
- ★ Seek support and advice from trading communities or fellow traders.
- ★ Utilize positive visualization techniques to prepare for trading success.
- ★ Stay adaptable and be willing to adjust your strategy to changing market conditions.

101 Mentorship - Become a Consistently Profitable Forex Trader

Inside of our MVP mentoring, you will discover our profitable trading approach & learn how to approach the markets on a daily basis. You will learn how to trade forex professionally.

Within 3 months of our private online forex mentoring program, you will learn all shortcuts, skills, and habits to become a profitable forex trader.

Our online forex mentoring program was designed to solve your trading struggles and take your trading to the next level by becoming a more successful, disciplined, consistent, and patient trader.

I will personally mentor you (Google Meet screen sharing training calls 1-2 hours/week), and together we'll completely transform your life for the better in every trading metric. This training program will teach you all skills and knowledge to become a consistently profitable trader.

What will you learn?

- ✔ Our profitable trend-following approach using price action, support & resistance, candlesticks, and timing
- ✔ How to think as a trader and trading mindset for your long-term success
- ✔ How to successfully trade any market spending no more than 20 minutes/day
- ✔ How to identify the general market trend direction and market behavior
- ✔ Complete set of simple and powerful trading rules to follow
- ✔ How to use the candlesticks and right timing to find good probability trading opportunities
- ✔ How to manage your trading positions for best results
- ✔ Clear rules on risk and trade management
- ✔ How to write your custom tailored trading plan based on your goals to make sure you stay on the right track to personal trading success
- ✔ How to consistently grow as a trader and reach your trading goals by tracking your trading progress
- ✔ How to build your trading career as a trader

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